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HT MUMBAI VOL. 9 NO. 206

Friday, August 28, 2026

mint

Think Ahead. Think Growth.

mint primer

Sugar prices are rising. Is ethanol the sole reason?

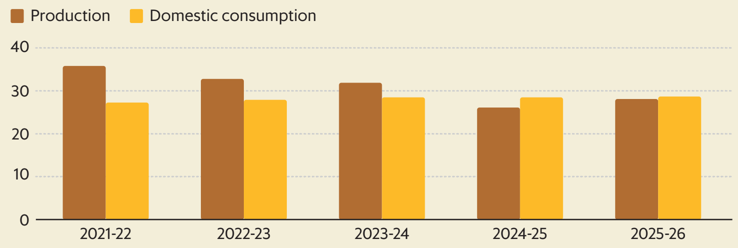
BY SAYANTAN BERA

Retail sugar prices have surged unusually fast, rising from ₹49 per kg a month ago to ₹65 on 26 August. Prices are about 41% higher than a year ago. The spike comes ahead of the festive season. Is it a result of lower production or diversion of sugar to ethanol? *Mint* explains

Tight supplies

Despite growing demand, sugar output has declined in recent years.

Sugar production and demand (in million tonnes)



Data as per sugar season, respective years (October-September). Production numbers after sugar diversion for ethanol.

Source: Crisil Intelligence

mint

PRATEEK KUMAR/MINT

1 What caused the hike in sugar prices?

Sugar output fell in 2023-24 and 2024-25 seasons due to drop in yields and adverse weather. Sugar season runs from October to September, in line with cane harvesting and crushing timelines. Last year, the crop was damaged by red rot, a fungal disease, in Uttar Pradesh and excess rains in Maharashtra, resulting in lower-than-expected production. As per a note from Crisil Intelligence (25 August), sugar production fell from 32 million tonnes (mt) in 2023-24 to 26 mt the next year, and improved to 28 mt in the ongoing sugar season (2025-26). Since annual consumption is over 28 mt, it led to a price spike.

2 How much sugar is used for ethanol?

As per Crisil's analysis, over the past five years, the quantity of sugar diverted towards ethanol production has shot up from a meagre 0.8 mt in sugar season 2019-20 to over 3 mt by 2025-26, or a near four-fold increase. This tightened supplies amid a production shortfall, which, in addition to the rising cost of sugarcane due to higher support prices to farmers, led to the current spike. The sugar industry lobby, however, believes otherwise. Nearly three-quarters of the ethanol is now produced using grains like maize and surplus rice, with just 25% coming from sugar-based sources.

BLOOMBERG

3 Is any other factor currently at play?

A less-spoken-of factor is inaccurate sugarcane production estimates. When the industry overestimates production at the beginning of a season, it erroneously makes room for higher diversion of sugar to make ethanol, as well as for exports. For instance, India allowed the export of about 0.7 mt of sugar before announcing a ban in May.

4 How is the government responding?

Besides allowing duty-free imports of 1 mt, the government has imposed stock limits on large buyers. September onward, bulk consumers are not allowed to hold stocks for more than 15 days of consumption. The government has also advised states and sugar mills to advance crushing of cane in October to improve the domestic supply. The government is undertaking physical verification of stocks and enforcing regular disclosures by traders and large buyers to stop hoarding and panic buying.

5 What risks lie ahead for the sector?

The crop sector is currently dealing with a strengthening El Niño and deficit rains in parts of India. The industry is yet to release a production estimate for the 2026-27 season, which begins in October. Crisil expects sugar production at 28.8 mt, slightly higher than 28.1 mt in the previous season. Farm ministry data showed a marginally lower cane planting area (5.84 million hectares) in the ongoing kharif season, as on 21 August. This is higher than the previous five-year average of 5.42 million hectares.

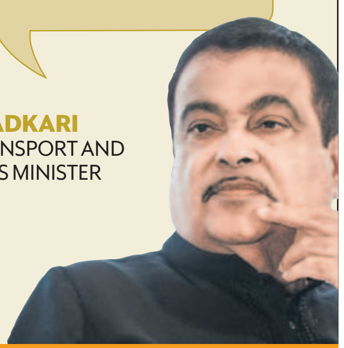
QUICK EDIT

Evolving money

India's Unified Payments Interface (UPI) was launched in 2016. Ten years on, UPI boasts of 240 billion annual bank-to-bank transfers, with their total value raring to rival nominal GDP. Stupendous as its success has been, the world of digital money remains obsessed with crypto. Bitcoin, the archetypal example, was a rebellion against folly-prone human control of money supply. Its launch pitch, drafted under a pseudonym, made an elegant case for an open ledger run by an algorithm. In a nutshell, its confidence winner was this: just as a coin loaded in favour of one side—let's call it integrity—that's tossed multiple times will move the outcome tally towards the coin's bias, so will honest actors drive out the bad ones as online transactions multiply. All it takes is the computer power of the former to outweigh the latter's. Stablecoins like India's digital currency are loyal to the monetary system, which is welcome, but for them to serve as earplugs that block out crypto's siren call, the classic do-not-debase rule applies. Also, they may need to offer cash-like anonymity, the need for which has survived the ages too. While UPI is wonderful, money itself looks likely to evolve the e-rupee way.

QUOTE OF THE DAY

Within five years, our target is to make India's automobile industry the number 1 in the world... it is difficult, but not impossible.



NITIN GADKARI
ROAD TRANSPORT AND HIGHWAYS MINISTER

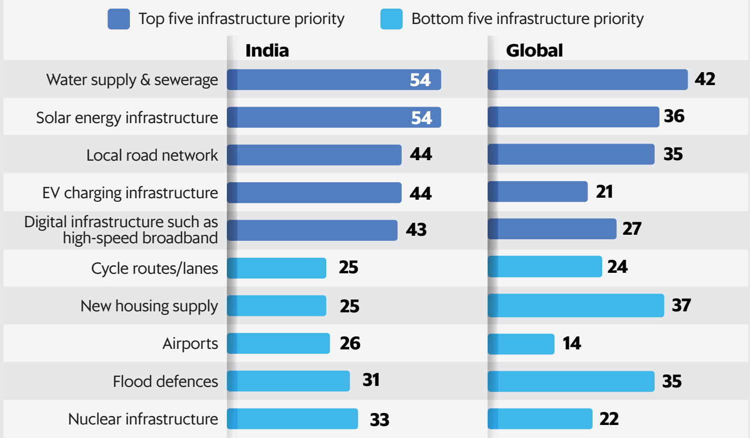
INSIDE

mint | DATA BITES

WHICH TYPES OF INFRA MATTER MOST TO INDIANS?

Indians' infrastructure priorities tilt towards essential services, clean energy and connectivity, with water, solar power, roads and EV charging ranking well above global preferences, while cycle routes, housing supply and airports attract less emphasis.

Respondents (%) who consider the following infrastructure areas a priority

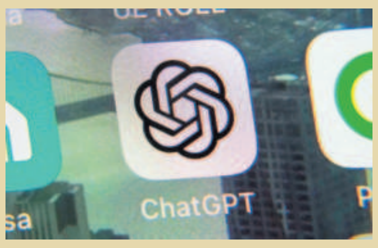


Based on a survey conducted in April-May 2026 among 21,521 adults across 29 countries.

Data: Manjul Paul
Graphic: Deepak Mishra

Source: Global Infrastructure Index 2026, Ipsos

COLUMNS



PLAIN FACTS

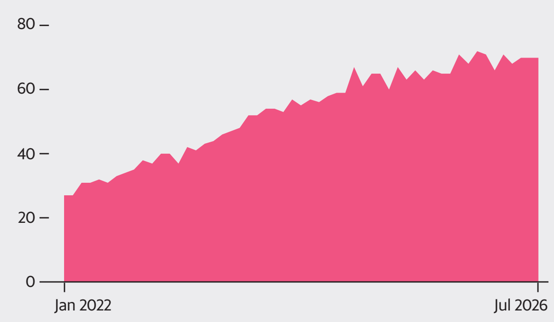
DATA RECAP THE WEEK IN CHARTS

CURATED BY MANJUL PAUL

From UPI completing a decade as India's digital payments backbone and a new services price gauge offering an early read on inflation to the government stepping in as onion prices surge, divergent trends in non-resident Indian (NRI) deposit inflows and India retaining the top spot among emerging markets amid signs of resilience and shifting economic momentum—here is a compilation of this week's news in numbers.

UPI MILESTONE

UPI transaction value as a share of currency in circulation (in %)

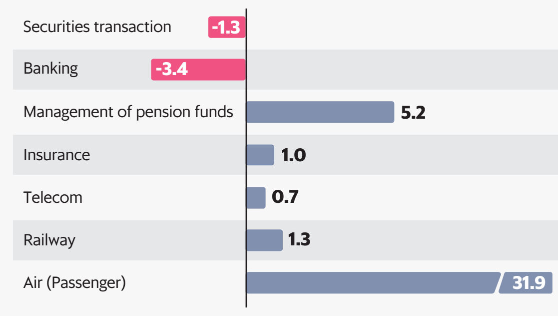


Source: Reserve Bank of India, National Payments Corporation of India

TEN YEARS since its launch on 25 August 2016, Unified Payments Interface (UPI) has transformed from just another payment rail into the backbone of India's digital payments ecosystem. Its rise is visible not only in transaction volumes but also in the amount flowing through it. UPI processed 241.62 billion transactions in FY26, up 30% from a year earlier. Average transaction value declined to about ₹1,300 from the pandemic-year high of ₹1,836, signalling wider everyday use. In June, UPI made for nearly 84% of retail payment transactions by volume and 58% by value. Its transaction value was equivalent to about 70% of currency in circulation by July, up from just 27-40% in 2022.

INFLATION POINTER

Year-on-year change in services producer prices (in %)

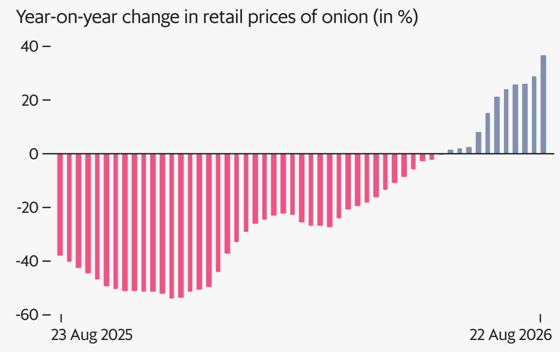


Source: Commerce ministry

INDIA'S SERVICE producer prices showed a divergence in Q1FY27, with air passenger services recording a 31.9% year-on-year rise and banking remaining in deflation. The Service Producer Price Index (service PPI), compiled by the commerce ministry, was introduced in June 2026, with 2022-23 as the base year. It covers seven services—banking, securities transactions, insurance, pension-fund management, railways, air passenger services and telecom—and is released quarterly. The Centre cautioned that no aggregate weights have been assigned as these services do not cover the entire services sector.

KANDA EXPRESS

Year-on-year change in retail prices of onion (in %)



Source: Consumer affairs ministry

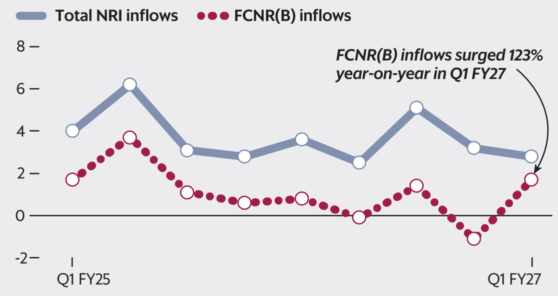
THE CENTRE has again deployed the 'Kanda (onion in Marathi) Express', sending buffer stocks by rail rakes from producing hub Nashik to consuming centres, as prices of the key vegetable climb. The initiative was first adopted under the government's price stabilization intervention in October 2024, and it has since been scaled up. The train from Lasalgaon in Nashik is carrying onions to Delhi, with consignments also planned for other cities. The move comes as the all-India average retail price of onions rose 36.5% year-on-year to ₹38.7 per kg on 22 August, while wholesale prices climbed 40.5% to ₹31.2. The Centre plans to sell buffer stock at ₹35 per kg in Delhi.

NUMBERS TALK

- **₹8,622 crore:** The investment seen from privatizing 11 airports, including Varanasi, Amritsar and Bhubaneshwar, with larger/profitable ones clubbed with smaller/loss-making, *Mint* reported.
- **₹1 trillion:** The investment Coal India plans on rail links and coal evacuation for its 1-bn-tonne output aim by FY30. This includes ₹30,000 crore for coal-gasification and ₹23,463 crore for rail links.
- **7.4%:** India's likely GDP April-June growth, a four-quarter low, amid the war disruptions and statistical effect of a higher GDP deflator. The hit seems less severe than expected earlier, a *Mint* poll shows.
- **$103,265:** The additional fee mooted for H-1B petitions by the US on 24 August, subject to the annual cap. This follows a court's rejection of the Trump regime's earlier $100,000 charge.
- **₹2.62 trillion:** The investment Indian Railways aims to attract from monetization, using new PPP models for rail lines, station redevelopment, cargo terminals, power projects and budget hotels.

DEPOSITS DIVERGE

Non-resident Indian deposit inflows (in $ billion), monthly



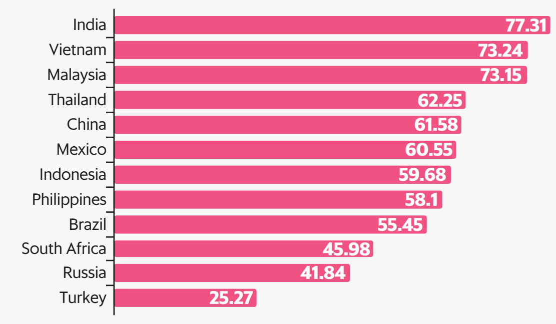
FCNR(B): Foreign currency non-resident (bank).

Source: CMIE

NRI DEPOSIT inflows fell 23% year-on-year to $2.8 billion in the June quarter of FY27, according to the Reserve Bank of India's latest data. The decline was mainly led by non-resident external (NRE) deposits, which are rupee-denominated, as RBI's dollar deposit mobilization gained traction. The central bank had introduced a special US dollar-rupee swap facility for foreign currency non-resident (bank), or FCNR(B), deposits in June to encourage foreign exchange inflows and strengthen India's external position. Forex inflows more than doubled to $1.7 billion during the quarter. RBI later advanced the facility's closure to 31 August from 30 September, citing strong response.

EMERGING MARKETS

Scores (out of 100) on *Mint's* Emerging Markets Tracker, July 2026



Source: Bloomberg, Mint calculations

INDIA RETAINED the top spot in *Mint's* Emerging Markets Tracker in July with a score of 77.3 out of 100, ahead of Vietnam (73.2) and Malaysia (73.2). Its lead shows relative resilience despite some momentum loss.

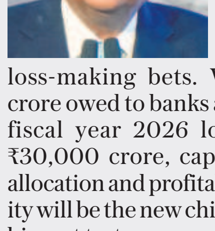
GDP growth stayed strong, exports accelerated to 19.5% in July, and foreign portfolio inflows supported the stock market and external position. However, manufacturing PMI eased to 53.5, inflation rose to 4.5%, and the rupee depreciated 0.9% against the dollar, limiting the score. The tracker, launched in September 2019, ranks 12 emerging economies on GDP, manufacturing PMI, exports, retail inflation, import cover, forex movements and stock-market performance.

MINT BEST OF THE WEEK

H-1B shock hits Indian IT

The US's steep H-1B surcharge, tighter L-1 scrutiny and visa appointment pause could raise costs for Indian IT firms and curb talent mobility. Companies may respond by prioritising senior talent, expanding offshore and nearshore centres, and accelerating AI-driven delivery models.

New Tata chair's debt test



The next Tata Sons chair will inherit nearly $10 billion in bank debt across four loss-making bets. With ₹88,277 crore owed to banks and combined fiscal year 2026 losses nearing ₹30,000 crore, capital allocation and profitability will be the new chief's biggest test.

Beyond the windfall

Dr Reddy's is navigating falling US generic margins and the end of its blockbuster Revlimid windfall, even as semaglutide setbacks add pressure. Its next growth bets, biosimilars, consumer health and drug innovation could rebuild the company, but they come with challenges.

HT MUMBAI VOL. 9 NO. 206 Rs. 15.00 18 PAGES

Friday, August 28, 2026

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SENSEX 76,933.63 ↓ 539.31 | NIFTY 24,090.85 ↓ 116.9 | DOLLAR ₹95.54 ↓ ₹0.13 | EURO ₹111.22 ↑ ₹0.11 | OIL $87.58 ↑ $0.89 | POUND ₹129.70 ↑ ₹0.31

GST Council focus on mobiles' tax cut

Council may also examine transmission of September rate cuts

Dhirendra Kumar & Vijay C Roy
NEW DELHI

The Goods and Services Tax (GST) Council may consider a cut in the 18% GST rate on mobile phones as it seeks to revive slowing handset demand and prevent the tax from becoming a drag on India's electronics manufacturing ambitions, two people aware of the matter said.

The proposal is expected to be discussed at the Council's meeting likely to be held next month, although the agenda has not been finalized, the people said on condition of anonymity.

The move comes as smartphone shipments in India fell 10-11% year-on-year in the April-June quarter, the steepest decline in a June quarter in six years, according to Counterpoint Research and IDC. Mobile-phone production stood at ₹6.27 trillion in FY26, nearly half of India's total electronics production of ₹13.11 trillion that fiscal year, according to government data.

"The GST rate on mobile phones may be looked at during the meeting as the government wants to make sure that the tax rate does not slow down the making of mobile phones in India," said one of the two people cited above.

The Council is also likely to examine whether the benefits of last year's GST rate rationalization have been passed on to consumers, following complaints of companies restoring prices to pre-reform levels, along with measures to bring prices of affected goods back to earlier lower levels.

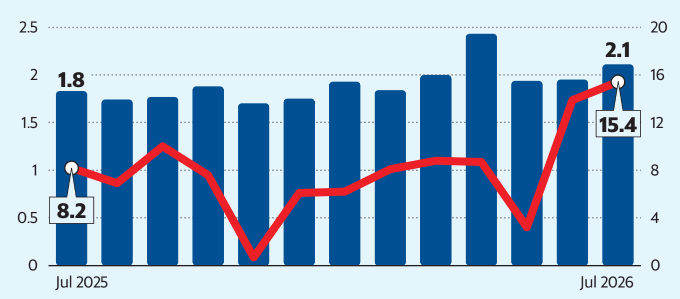
The proposed review assumes significance as the government recently notified the ₹62,500-crore Mobile Phone Manufacturing Scheme on 21 August. The scheme will run for five years, from FY27 to

TURN TO PAGE 9

TAX TALE

GST Council is concerned that after last year's sweeping tax reforms, some companies have quietly raised prices to pre-reform levels

Details of GST collections, monthly



Source: Finance ministry

MOBILE REVIVAL

PROPOSAL to be discussed at Council's meet likely in Sep

PHONE shipments fell 10-11% y-o-y in the April-June quarter

SLOWING handset demand dents India's electronics ambitions

SATISH KUMAR/MINT

Sugar spike adds renewed pressure to FMCG margins

Abhinaba Saha
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MUMBAI

Makers of packaged foods from biscuits to beverages may feel the bitter aftertaste of a sugar spike soon, just as they recover from their worst profitability crisis in at least four years.

Raw material costs jumped 20% in the June quarter at seven consumer companies with significant exposure to sugar in their food portfolios, a *Mint* analysis found. Consequently, their operating margins hit a four-year low of 22.2%, slipping below the levels at the height of the Russia-Ukraine war, while combined net profits declined 7%. Six of them, including Britannia Industries, Nestlé India, Varun Beverages, ITC and Dabur are part of the Nifty FMCG index.

Industry experts said a spike in crude-linked raw material costs, along with a 30-40% jump in packaging costs amid supply disruptions following the West Asia war, dealt a double blow to these companies in the previous quarter.

The September quarter may turn out worse, with sugar prices climbing 40% over just two months. The government has blamed the spike on a supply squeeze, driven by excess rainfall and crop diseases in key sugarcane-growing regions, even as a share of sugarcane continues to be diverted toward ethanol production.

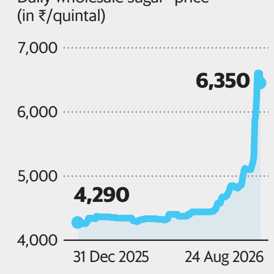
Sugar output for 2025-26 is now expected at 30.6 million tonnes, 11% below the initial estimate of 34.3 million tonnes. Icra expects inventories to fall to 4.3 million tonnes by September, from 5.3 million tonnes a year earlier, leaving less than two months of con-

TURN TO PAGE 9

Hot and sweet

Supply squeeze from excess rain, crop diseases has driven up sugar prices.

Daily wholesale sugar* price (in ₹/quintal)



*Data based on M-30 raw sugar wholesale prices in Delhi, including Goods and Services Tax

Source: ChiniMandi

SATISH KUMAR/MINT

L&T back to owning its assets, focus on new tech

Nehal Chaliawala & Shouvik Das
MUMBAI/DELHI

A decade after Larsen & Toubro Ltd (L&T) decided to exit asset ownership in conventional infrastructure because of poor returns, India's largest engineering and infrastructure company is once again putting large projects on its balance sheet—but this time in businesses where it can own assets and capture the economics of operating them.

Over the past two to three years, the Mumbai-headquartered conglomerate has committed capital to data centres, green hydrogen production and electronics manufacturing, marking a selective reversal of its long-standing asset-light strategy.

Instead of merely building infrastructure for customers and handing over the assets, the company plans to own some of these facilities and earn revenue from the products and services they generate—from computing capacity and AI and cloud services to green molecules and electronics.

"There is a change in the

TURN TO PAGE 6

DON'T MISS

MINT

Highway developers may get longer relief on bitumen costs

The ministry of road transport and highways may extend a special relief mechanism for highway contractors beyond September as conflict-related disruptions in West Asia push up bitumen prices and pressure project economics, two people in the know said. >P2

NHB classifies Star Housing Finance account as fraud

National Housing Bank (NHB) has classified Star Housing Finance Ltd's refinance account as 'fraud' after snap and forensic audits flagged alleged phantom loan accounts, fund diversion and other irregularities at the firm, as per a document reviewed by *Mint*. >P6

HDFC Bank may contest NCLT order on Chandra's ₹6.5-cr plan

HDFC Bank plans to challenge the National Company Law Tribunal (NCLT) order approving Zee group founder and chairman emeritus Subhash Chandra's ₹6.5 crore repayment plan to resolve his personal insolvency proceedings. >P4

NOTE TO READERS The Media Marketing Initiative on Page 5 is the equivalent of a paid-for advertisement, and no *Mint* journalist was involved in creating it. Readers would do well to treat it as an advertisement.

Public banks may soon fund entire farm value chains

Move may shift the focus to aiding the broader farm ecosystem around district-level products

Harsh Kumar & Vijay C. Roy
NEW DELHI

Public sector banks (PSBs) could soon start financing the entire value chain around specific agricultural products identified for each district, rather than lend separately to farmers and businesses along the chain. This cluster credit approach could, therefore, shift the focus from financing individuals to supporting the farm ecosystem around district-level products.

As per a proposed framework of the finance ministry's department of financial services, in coordination with the department of agriculture and farmers welfare, banks would get six months to draw up cluster-based lending plans, covering farmers and farmer producer organizations (FPOs) as well as aggregators, processors, storage and logistics providers, two people aware of the development said. Details of the proposal are still being finalized.


The approach seeks to finance the cluster as an integrated system, rather than treat each participant as an isolated credit exposure. HT

The banks must look to use management information system (MIS) databases and data-driven insights to refine their farm lending in 6-12 months, said the first person, requesting anonymity.

6 months
Time banks will get to draw up cluster lending plans

The approach would be built around the government's One District One Product (ODOP) clusters, with banks mapping the financing needs of each link in a product's value chain, with support from the National Bank for Agriculture and Rural Development (Nabard), the person said. The aim is to plug credit gaps that can leave one part of the chain funded while others, such as aggregation, processing, storage or logistics, remain starved of capital.

Under the framework, banks would map the value chain of an ODOP and incorporate it into a cluster-specific chapter of the annual credit plan, with segment-wise sub-targets, said the first person.

The norms seek to finance the cluster as an integrated system, said the second person. "This could allow banks to address financing needs across the value chain and reduce instances where one segment gets credit while the upstream or downstream links stay underfunded," the person added.

Banks are proposed to use MIS databases and data-driven insights to refine loan products, identify credit gaps and improve credit penetration within clusters. They would assess credit demand, ticket-size distribution, segments seeking credit and delinquency across different activities in the value chain.

1,244
No. of products identified for the initiative as of July

The farm cluster financing model envisages coordinated participation by farmers and farmer groups, input suppliers, aggregators and processors, logistics and cold-chain partners, financial institutions, insurers, government agencies and markets.

The initiative seeks to promote at least one distinctive product from each district to support local employment, investment, manufacturing and exports. Products are identified by state governments based on local ecosystems, clusters, GI tags and other factors. As of July, 1,244 products had been identified across 773 districts for the initiative, per government data. The products span agriculture and allied activities, food processing, handloom, handicraft and manufacturing.

Calling the move useful, Shweta Saini, a farm economist and founder and CEO of Arcus Policy Research, said: Agricultural conditions, distress and value-chain gaps are often far more localized than state-level planning recognizes, so banks understanding the financing needs of a district and its major value chains can improve both the quality and productive use of credit." She, however, cautioned against use of the norms to dictate what farmers should grow.

Queries emailed to 12 public sector banks, Nabard, the ministries of finance and agriculture remained unanswered until press time.

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For an extended version of this story, go to livemint.com.


Piyush Goyal, commerce and industry minister. PTI

India-Japan ties gain momentum after Piyush Goyal's visit

Harsh Kumar
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NEW DELHI

The India-Japan Special Strategic and Global Partnership gained fresh momentum, as the two countries vowed to step up efforts to deepen trade, investment, technology and industrial cooperation across strategic and emerging sectors during commerce and industry minister Piyush Goyal's four-day visit to Japan.

Goyal's visit to Tokyo, Nagoya and Osaka focused on accelerating Japanese investment in India, boosting industrial partnerships and building resilient supply chains.

The minister held high-level engagements with Japanese government leaders and the those of over 30 major Japanese companies, including financial institutions, with interests in India.

A key focus of the visit was mobilizing long-term Japanese institutional capital for the country. Goyal held discussions with leading financial institutions, including MUFG, Mizuho, Nomura, Nippon Life, Development Bank of Japan and Morgan Stanley MUFG Securities, on opportunities to deepen capital flows into India's infrastructure, manufacturing, technology and financial sectors.

Goyal held talks with Japan's minister of economy, trade and industry Akazawa Ryosei, as well as top officials of JETRO, JBIC and JICA.

The minister also chaired roundtables on capital goods, machinery and automotive; semiconductors and artificial intelligence; startups; and foreign institutional investors. At a semiconductor and AI roundtable, he highlighted India's goal to build a globally competitive chip ecosystem, with local chip demand seen at $150 billion by 2032.

He said India's large pool of skilled and young talent, combined with Japan's technology, engineering expertise and manufacturing capabilities, could catalyse a world-class semiconductor ecosystem.

For an extended version of this story, go to livemint.com.

India, Canada eye deeper economic cooperation

Harsh Kumar
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NEW DELHI

India and Canada will seek to deepen their economic partnership beyond traditional trade in goods and services, with investment, finance, capital markets and regulatory cooperation forming part of the agenda under the inaugural India-Canada Economic and Financial Dialogue.


François-Philippe Champagne with FM Nirmala Sitharaman. PTI

Finance minister Nirmala Sitharaman and her Canadian counterpart François-Philippe Champagne concluded the inaugural dialogue in Canada on Thursday, with discussions focused on three broad areas, Sitharaman said in her remarks after the meeting.

The first area was macroeconomic developments and domestic policy priorities. Despite a challenging global backdrop, India has demonstrated "remarkable macroeconomic resilience", she said. The two sides noted their complementarities and the scope to deepen investment and economic cooperation.

The second area was financial-sector cooperation, including cross-border payments, financial stability, fintech and capital markets. Sitharaman noted the significant scope for their financial systems to work closely and facilitate greater flows of trade, investment and remittances.

The third area was wider international and multilateral cooperation on issues of shared interest. This includes critical minerals and energy security, where greater India-Canada cooperation can contribute to more resilient and diversified global supply chains, the minister said.

The dialogue reflects the two countries' broader ambition to build a deeper economic partnership encompassing investment, finance, capital markets and regulatory cooperation, she added.

The discussions come against the backdrop of heightened global uncertainty and evolving geopolitical and economic realities. Sitharaman said closer economic cooperation was increasingly crucial for resilient, sustainable and inclusive economies.

The two sides identified areas for follow-up, with officials set to take forward the discussions.

For an extended version of this story, go to livemint.com

Highway developers may get longer relief on bitumen costs

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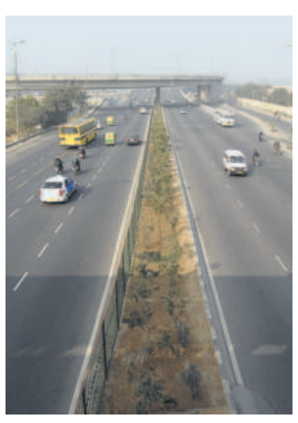
NEW DELHI

The ministry of road transport and highways (MoRTH) may extend a special relief mechanism for highway contractors beyond September as conflict-related disruptions in West Asia push up bitumen prices and pressure project economics, two people in the know said.

The relief, introduced in the wake of the conflict and initially available until June, was extended to September. The ministry may now extend it further, potentially to December or March on review of the market and prices next month, one of the people said.

Under the plan, contractors can be compensated for higher bitumen costs based on actual consumption and prevailing prices. The base rate is the price at the nearest refinery on the project base date, while revised rate is the average price at the nearest public sector refinery during the month, with the adjustment released along with monthly payments.


The relief was introduced in the wake of the conflict. MINT

The relief covers engineering, procurement and construction (EPC), hybrid annuity model, item-rate and some maintenance contracts lacking adequate price-escalation provisions for projects bid before 31 March 2026 and being executed this fiscal.

Developers seek an extension, arguing that bitumen cost rise and import dependence may make some projects unviable without government support. Costs are also putting pressure on contractors' cash flows, the people said.

Queries emailed to the highway ministry went unanswered until press time.

Contractors say the relief remains incomplete. Devendra Jain, managing director and CEO of Dilip Buildcon Ltd, said the measures announced were welcome but "partial in nature", as contractors were also facing sharp increases in fuel and other inputs because of the Iran-US crisis. "For the relief to be meaningful, it needs to be broadened beyond bitumen alone," Jain said.

Bitumen price surge is spiking project costs. The price of Bulk VG-40, a common bitumen grade, at Mathura refinery rose from ₹48,892 a tonne on 1 February to ₹82,122 by 16 April, per industry data. Prices since eased to about ₹75,000.

Bitumen accounts for 5-10% of the cost of a standard highway project, said Shailesh Agarwal, partner, risk consulting (infrastructure), EY India. "While this may appear modest, a sharp increase in bitumen prices can add tens of crores to project costs," he said,

For an extended version of this story, go to livemint.com.

'Near-misses' list to avert drug reaction

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NEW DELHI

India aims to prevent potentially dangerous drug reactions before they reach patients, moving beyond largely retrospective reporting towards proactive drug-safety monitoring. Under a proposed framework, healthcare professionals will record "near misses"—from risky combinations to allergies and dosing errors—so regulators can identify recurring risks and issue safety alerts, according to two government officials and a document reviewed by *Mint*.


Pharmacovigilance surveillance currently primarily captures adverse drug events after a patient experiences harm. MINT

The initiative, taken up by the Indian Pharmacopoeia Commission (IPC), under the health ministry, aims to systematically record instances where potential drug-drug interactions and critical patient allergies are intercepted by doctors, nurses, and clinical pharmacists before medications reach people, said one of the officials in the know.

"The focus is to capture the interventions made by a doctor before an incorrect medicine or contraindicated combination reaches the patient. Documenting near-miss cases will provide an actionable denominator value to calculate risk percentages, map prevalent drug-drug interactions, and issue targeted clinical alerts," the official cited above said, requesting anonymity.

India aims to move beyond largely retrospective reporting towards proactive drug-safety monitoring

Under the plan, the commission is preparing a 'Monthly Prevented Adverse Drug Reactions Reporting' form under the Pharmacovigilance Programme of India (PvPI) to document medication risks caught during hospital care.

Currently, pharmacovigilance surveillance in India primarily captures adverse drug events after a patient experiences harm or side-effects. Capturing prevented reactions aims to help regulators identify systemic gaps across hospitals, including lack of awareness.

The plan is in line with global norms. The US FDA, the European Medicines Agency and the WHO mandate voluntary, non-punitive reporting of intercepted medication errors to identify packaging and prescription risks. The data is routinely analyzed to update drug safety warnings, reform clinical guidelines, and redesign confusing medicine labels.

To implement the system, the health ministry and the pharmacopoeia commission plan to integrate safety reporting tools with national digital platforms, including onboarding onto the Central Drugs Standard Control Organisation's (CDSCO) SUGAM portal.

"Hospitals and medical colleges in the PvPI network will be trained to use the standardized reporting format to document intercepted prescription errors and contraindications," said the second official. The government will send clinical circulars and alerts to hospitals.

The scientific body of the commission has advised a detailed evaluation of the new reporting mechanism prior to its nationwide rollout.

Queries sent to the health ministry remained unanswered until press time.

For an extended version of this story, go to livemint.com.

MINT SHORTS

See no major challenge in E10 petrol supplies: BPCL CMD

New Delhi: Several factors are being considered for shifting back to E10 petrol from E20, and no separate infrastructure may be required for dispensing it, said Sanjay Khanna, chairman and managing director (CMD) of state-run Bharat Petroleum Corp. Ltd on Thursday. However, no final decision has been taken yet. RITURAJ BARUAH

Centre rules out curbs on onion exports

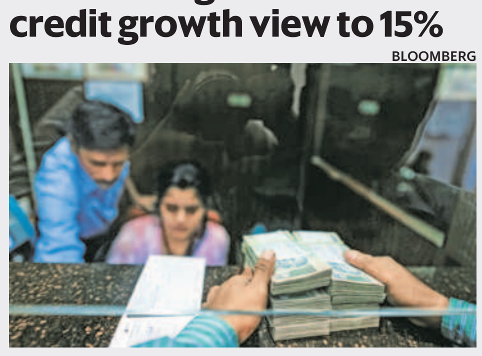
New Delhi: The Centre has ruled out fresh curbs on onion exports as local availability remains comfortable, consumer affairs secretary Nidhi Khare said, even as the Centre began selling onions at ₹35 per kg to contain a seasonal rise in retail prices. Speaking after flagging off mobile vans carrying onions for retail sale, Khare said the government had sufficient stocks to meet local demand and would rely on buffer-stock releases and market interventions. DHIRENDRA KUMAR

India plans $1.4 billion sops to spur battery parts output

India is nearing the rollout of a fresh incentive programme for advanced battery cell component makers worth up to ₹13,000 crore ($1.37 billion), as per people familiar with the programme, part of Prime Minister Narendra Modi's push to close a persistent cost gap with Chinese producers. New Delhi is trying to spur manufacturing of parts that go into cells, said these people. BLOOMBERG


BLOOMBERG

India Ratings lifts bank credit growth view to 15%


BLOOMBERG

Mumbai: India Ratings and Research raised its banking-sector credit growth forecast to 15% for the current fiscal year from 13% earlier, but warned that the current pace of expansion is unlikely to be sustained amid elevated loan-deposit ratios, pressure on profitability, and higher credit costs emerging as key risks. It maintained a neutral outlook on the banking sector. SUBHANA SHAIKH

PMJDY turns 12 with 590 mn accounts, ₹3.17 tn in deposits


BLOOMBERG

New Delhi: The Pradhan Mantri Jan Dhan Yojana (PMJDY) has reached 590.9 million accounts with total deposits of ₹3.17 trillion, with women accounting for 55.7% of account holders. The scheme was launched by Prime Minister Narendra Modi in 2014. HARSH KUMAR

45 Indian coal power plants have critical low fuel

New Delhi: Forty five power plants in India are operating with critically low coal inventories, government data showed, as monsoon rains disrupt supplies and electricity demand rises. The number of plants with coal stocks below 25% of their required inventory or with critically low stocks to generate power for under three days rose from 31 at the end of July. REUTERS

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Dream11 completes pivot after RMG ban

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A year since the government banned online real-money gaming (RMG), Tiger Global Management-backed Dream11 has completed its shift from fantasy sports to a global sports engagement platform, the company said in a statement on Thursday.

It has ended all prize-based offerings and is now focused on sports content, live streaming, scores, stats, commentary, community, experiences and social contests.

"With 300 million users, Dream11 understands what a true sports fan really wants—not just the sport, but the community. Backed by the best tech talent in the country, we are now building an AI-first sports engagement platform, made in India, for the World," said chief executive Vaibhav Kokal in the statement.

The company is now building an AI-first, personalized, multi-sport platform tailored to users' favourite sports, leagues, teams and players, with ambitions to serve fans globally.

In August 2025, the government enacted the Promotion and Regulation of Online Gaming Act, 2025, imposing a ban on online money games, from 1 October 2025. The law prohibits online games involving monetary stakes or deposits. The law brought paid fantasy sports and other real-money gaming offerings to an end, prompting firms like Dream11 to pivot towards free-to-play sports engagement and other businesses.

For an extended version of the story, go to livemint.com

Google data centre push eyes Vizag as AI corridor

Government's single window system helped set up Google's largest data centre outside US

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In late 2024, a team of engineers from Google travelled to Visakhapatnam in Andhra Pradesh—a place once known for its clean beaches, fishing villages and shipyards—to explore the viability of setting up a large data centre facility in India.

Less than 12 months later, on 14 October 2025, Google unveiled its $15 billion, 1GW data centre project in the area in partnership with Adani Enterprises and Bharti Airtel—a feat that a top company executive said is proof of rising ease of business in India's data centre economy.

In an interview with *Mint*, Alexander Smith, principal for global infrastructure, Asia-Pacific, at Google, said that a "single window mechanism" operated by Indian government bodies, both at state and Centre, helped the company expedite setting up of what is Google's largest data centre outside the US.

"From visiting the site in late 2024, we accelerated to announcing the project in October 2025. By April this year, we broke ground on our factory. A lot of the legal process was possible due to India's single window approval mechanism for land, power and a host of associated clearances—this allowed us to seek approval for multiple things at the same time and move really fast. For data centres, it doesn't get any faster than this, even if you consider mature geographies such as Singapore," the executive said.

The ease of business that Smith referred to include smooth land and power resource approvals, and the ability to source IT hardware and cooling solutions readily from within the country. Google, however, faces a potential speed bump. On 24 August, though the Andhra Pradesh high court refused to stall construction of the Vizag data centre, it asked the state government to produce all due paperwork for the project before the court. The pace of the project, therefore, could depend on what comes next.


Alexander Smith, principal for global infrastructure, Asia-Pacific, Google.

Nevertheless, Smith affirmed that the region remains one that Google "intends to build as an AI corridor in India—before looking to develop other sites around the country."

Other facilities, to be sure, could be on the cards. On 8 July, Thomas Kurian, global chief executive of Google Cloud, told *Mint* in an interview that the firm "will look at setting up more data centres beyond the currently planned one—as demand builds."

Industry stakeholders said that Vizag's feasibility of becoming an "AI corridor" will hinge upon how proactively can the state government develop the region—even alongside Google's influence and impact.

"There are few companies with the kind of strategic pull and importance as Google, but data centres inherently operate remotely and without a lot of people involvement. In the AI era, what could make a difference is if Google sets up an office here, and creates a talent ecosystem that leverages the rest of the supply chain setting up here," said Jayanth Kolla, partner at AI consultancy and services firm Convergence Catalyst. "While power and cooling companies may naturally set up shop here, this may not be sufficient."

"Google admittedly may bring influence to the region, but the real tale will depend on Visakhapatnam's development of other factors around the data centre as well," Kolla added.

Smith, on this note, is one of the key leaders of the project, and is therefore no stranger to India—visiting the country "every six to seven weeks."

"Quite a bit of India's available supporting infrastructure has clearly been developed keeping new technologies and large-scale facilities in mind," Smith said. "If this was not the case, it may have taken us considerably more time to build the project at a scale that we're pursuing right now."

Google's data centre announcement marked a phase of consecutive big-ticket data centre bets in India since last year. Top projects announced include a $7 billion, 1GW data centre project by Tata Consultancy Services, Amazon's $35-billion India investment including tech projects, Microsoft's $17.5-billion AI and data centres commitment by chief Satya Nadella on 10 December, Reliance Industries's $110 billion and Adani Enterprises's $100 billion AI and data centre outlays, and Bharti Airtel's private equity-backed 1GW, $1-billion fund-raise for Nxtra—its data centre arm.

Even smaller, independent companies, such as Hyderabad's CtrlS Datacenters with $425 million and Mumbai's Yotta Data Services with $150 million in fund-raise rounds, have joined the fray.

"We're looking at mid-2028, or about two years, for the first phase of the data centre to come live. It will all happen in phases, and the full 1GW facility will likely come live in five to six years—perhaps by 2032," Smith said.

For an extended version of the story, go to livemint.com.

INFRA BUILD

GOOGLE unveiled a $15 billion, 1GW data centre project with Adani and Airtel in October 2025

SMITH said the announcement was proof of rising ease of business in India's data centre economy

HE said the 'single window mechanism' helped expedite its largest data centre outside the US

SMITH affirmed the region remains one that Google 'intends to build as an AI corridor in India'

Siguler Guff eyes $400 mn to stay invested in 4 firms

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Global private equity firm Siguler Guff is in the process of launching a $350-400 million India-focused continuation fund to stay invested in four of its portfolio companies, people familiar with the matter said.

Siguler Guff is considering the continuation fund to stay invested in value-retail chain Baazar Kolkata, multi-specialty chain Sterling Hospitals, appliance maker Luker Electric Technologies and medical device maker Relisys, the people cited above said on the condition of anonymity.

Private equity and venture capital funds with successful portfolio firms usually launch continuation funds to hold on to investments as the fund life nears completion. This allows the fund's limited partners to exit, while the trophy asset gets more time to mature.

Siguler's aim is to help some limited partners of the previous fund exit, while enabling the firm to continue backing its high-performing assets. The firms did not respond to requests for comment, while Siguler Guff declined to comment.

Last week, Siguler announced a $500 million fund targeting mid-market, founder- and family-owned India businesses

Last week, Siguler announced a $500 million fund targeting mid-market, founder- and family-owned businesses in India, marking its first focused vehicle for the country. Its previous emerging markets fund of $238 million had also invested in India.

In India, homegrown private equity funds have launched such funds, although the market is nascent compared to global counterparts.


Siguler's aim is to help some limited partners of the previous fund exit. ISTOCKPHOTO

Last year, Kedaara Capital closed a $300 million continuation fund to back firms such as Lenskart Solutions and Care Health Insurance, reports said. In 2025, Multiples announced a $430 million continuation fund to extend its investment in Vastu Housing Finance Corp. Ltd, Quantiphi Analytics Solutions Pvt. Ltd, and APAC Financial Services Pvt. Ltd.

Similarly, ChrysCapital announced a $700 million continuation fund to back National Stock Exchange of India, with the vehicle anchored by HarbourVest Partners LLC, LGT Capital Partners Ltd, Pantheon Ventures (UK) LLP, and other investors in 2024, *Mint* reported.

In May 2024, *Mint* had reported that other venture capital firms including IndiaQuotient, Kae Capital, Lightbox India Advisors, and WestBridge Capital Management were also considering similar moves.

For an extended version of the story, go to livemint.com

GMR, Adani chase non-aero gains as traffic growth slows

The strategy marks a shift—from handling more traffic to better monetizing each passenger

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GMR Airports and Adani Airport are increasingly relying on passengers to shop, dine or spend more at airports to drive their next phase of growth, as non-aeronautical businesses emerge as their primary revenue driver. Adani Airport is targeting a 70% contribution from non-aero businesses by 2030, from 56% currently, while GMR Airports expects its non-aero platform to grow at about 15% annually on a sustained basis.

The non-aero businesses, including retail, duty-free, food and beverage, lounges, parking and commercial development, now account for about half of the two operators' income.

GMR Airports, the country's largest private airport operator, handled 30.5 million passengers in the June quarter, with traffic growing just 1%. Yet non-aero revenue across its three Indian airports rose 11%, including 13% at Delhi, 12% at Hyderabad and 8% at Mopa.

Adani Airport, a wholly-owned subsidiary of Adani Enterprises, operates eight airports, including Mumbai, Navi Mumbai, Ahmedabad, Mangalore, Lucknow, Jaipur, Thiruvananthapuram and Guwahati. Its non-aeronautical revenue jumped 53% year-on-year to ₹2,136 crore in the June quarter, while passenger traffic rose 3% to 24.2 million. The strategy allows the firms to increase revenue from existing passengers rather than depend entirely on growth in passenger traffic or aeronautical charges, especially when passenger growth is slowing.

In an investor call hosted by brokerage Motilal Oswal and attended by Jugesindher 'Robbie' Singh, chief financial officer, Adani Enterprises, and Arun Bansal, chief executive officer, Adani Airport Holdings, executives said Adani Enterprises has set a target of raising the contribution of non-aeronautical businesses to 70% of revenue by 2030, from 56% at present.

Queries sent to GMR Airports seeking comment went unanswered.

"Globally, there are examples of a 30-70 mix, that is 30% aero revenue and the remaining being non-aero. So this looks like an achievable number going forward when capex cycles come down and airports mature," said Ankita Shah, vice president at Elara Capital.

The strategy reflects a fundamental change in the airport business: the next phase of growth is about monetising passengers, not merely handling them.

Non-aero yield per passenger at Adani managed airports grew to ₹883, up 48% year-on-year and 25% sequentially from ₹708 in the March quarter.

"(Growth of) non-aero...depends on geopolitical issues...So if the growth comes back in the international passenger market as planned, you should see the similar growth (revenues) continuing during the year," Bansal told investors during the AEL investor call post their June-quarter results.

An Adani spokesperson told Mint that non-aero remains the biggest growth opportunity at airports, driven by aspiration. "The growth in non-aero is also driven by an increase in penetration, led by our Adani One App. City side [development] will start to contribute to revenue from FY30 onwards," the spokesperson said.

The opportunity, therefore, is not simply to increase footfall at airport shops. It is to increase conversion and spending of each passenger," Shah said.

GMR is pursuing a similar model, although its current focus is on growing the non-aero platform rather than setting a specific revenue-mix target.

GMR Airports' non-aero yield per passenger was ₹691 in the June quarter, up 8% sequentially from ₹640 in the March quarter. The company expects non-aero spend per passenger to increase 7-8% over time. Last year's non-aero numbers are not directly comparable for GMR because of changes in ownership across some of its non-aero businesses. "On an organic basis, I think the (non-aero) business will grow about 15-18% on a secular basis. You can assume 15% for sure. In good years, once traffic starts to improve, 18% is also not very far away," Saurabh Chawla, executive director, finance and strategy at GMR Airports, said during the company's first-quarter earnings call. GMR Airport's total income was ₹4,080 crore, and nearly half of this was non-aero revenues.

At Hyderabad, the contrast between aero and non-aero revenue is particularly stark: non-aero revenue grew even as the airport faced pressure on its aeronautical business.

For an extended version of this story, go to livemint.com.

Non-aeronautical earnings already account for half of GMR and Adani Airports' income, spanning retail, duty-free, food and beverage, among others. BLOOMBERG

RUNWAYS TO RETAIL

ADANI Airport aims to raise non-aero revenue to 70% of revenue by 2030, from 56% currently

ADANI'S non-aero revenue rose 53% on-year to ₹2,136 cr in June quarter, while traffic rose just 3%

GMR'S non-aero revenue was up 11%, with passenger traffic across three airports rising just 1%

GMR expects its non-aeronautical business to grow 15% annually, and 18% with stronger traffic

Lloyds' steel ambitions grow with its captive ore bounty

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The firm already has environmental clearance for 4.5 mtpa; final decision on the capacity and board approval are still pending. HT

Lloyds Metals and Energy Ltd is considering raising the capacity of its proposed steel plant in Maharashtra to as much as 8 million tonnes a year, as surging iron ore production bolsters its downstream ambitions.

The company has received environmental clearance for a 4.5 million tonne a year (mtpa) steel plant at Konsari in Gadchiroli, up from the 3 mtpa facility originally planned, and is evaluating whether to take the capacity as high as 8 mtpa, according to two people familiar with the matter. Board approval is pending, they said.

The final capacity would determine the project's investment needs and whether additional environmental approvals are needed. The potential scale-up comes even as Lloyds is yet to commission its first steelmaking plant. It is building a 1.2 mtpa electric-arc-furnace wire-rod unit at Ghugus in Maharashtra's Chandrapur district, which it expects to commission by March 2027.

"The management is evaluating the optimal product mix and suitable scale for the steel capacity at Konsari. While the initial plan was for a 3 mtpa steel plant, the final capacity could be higher to establish the most viable and feasible greenfield primary steelmaking project," a Lloyds Metals spokesperson said told *Mint*.

The proposed expansion reflects Lloyds' growing confidence in its iron ore business and its ability to use captive ore to move further downstream into steelmaking. The company expects iron ore production to reach about 26 million tonnes in FY27 from 21.96 million tonnes in FY26, giving it a much larger raw-material base to support an integrated steel business.

On its Q1FY27 earnings call, managing director Rajesh Gupta had said Lloyds was studying whether it could build a larger steel plant on the same land instead of proceeding with the originally planned 3 mtpa facility using the blast furnace route. It is undertaking technical, commercial and financial studies before deciding how much capital should be allocated to the project, he said.

"We believe we can do a larger plant in the same location," Gupta had said, adding that the plans were yet to be finalized or approved by the company's board.

The scale-up would mark a significant step up in Lloyds' steel ambitions. Its Ghugus project, once commissioned, will be its first major steelmaking operation, while the proposed Konsari plant could be several times larger. The company said the project will mark its first major step into steelmaking, extending the integration and cost-control strategy it has pursued in its iron ore and pellet businesses.

Together, the Ghugus and Konsari steel plants are likely to require ₹20,000-25,000 crore in investment over five years, co-promoter and managing director B. Prabhakaran, had told *Mint* earlier.

"Lloyds' consideration of increasing the capacity of its previously planned 3 mtpa plant is driven not only by the growing steel demand but also by value addition it can create for the firm's iron ore mining business. Lloyds already has one key raw material secured through its captive mines, while it may still need to import coking coal," said Dhruv Goel, chief executive, BigMint, a commodities market intelligence firm.

Captive ore could become more important as it scales up steelmaking. By FY28, the firm expects about 2.4 million tonnes of iron ore and pellet production, on a combined basis, to be consumed internally, including additional 1.4 million tonnes by the steel plant. Lloyds produced 6.05 million tonnes of iron ore in the June quarter, up 53% from a year earlier, while sales rose 58% to 5.46 million tonnes.

For an extended version of this story, go to livemint.com.

Lloyds Metals plans to scale up capacity at its upcoming Konsari plant to 8 mtpa, up from 3 mtpa originally planned

MINT MEDIA MARKETING INITIATIVE

Vivek Varshney of SpeEdLabs on the physics of surviving EdTech

SpeEdlabs' founder Vivek Varshney walked away from a global banking career to build an education venture from scratch. Today, SpeEdLabs serves over 750 schools and 150,000 students, a milestone built through years of burnt capital and a decisive pivot to profitability

Vivek Varshney, founder of SpeEdLabs

Two hours of electricity daily, no CBSE schools and a single narrow-gauge train to IIT Kanpur formed the backdrop of SpeEdLabs founder Vivek Varshney's early life in Kasganj, Uttar Pradesh. That lone railway track launched an improbable trajectory from a Hindi-medium schooling to IIT Kanpur, then IIM Lucknow and senior investment banking roles at Morgan Stanley and Deutsche Bank in London. Yet, his defining choice came in 2015 when he walked away from a settled global banking career to build an education venture from scratch.

Today, SpeEdLabs serves over 750 schools and 150,000 students, a milestone built through years of burnt capital, board scrutiny and a decisive pivot to profitability.

THE EARLY DAYS IN LONDON

By 2015, Varshney had spent over a decade in global equity research and private equity. Standing in London during a leadership stint with Deutsche Bank, he found himself at a crossroads where he could opt for an international posting or step out to build something enduring. "It's not a trivial choice once you are doing well in your career, especially coming from a financially humble background. But in 2015, India was crossing major digital inflection points and I didn't want to live with the regret of not trying," he said in the latest episode of Mint Rollin' with the Boss, brought to audiences by luxury partner Lexus.

This entrepreneurial risk that he was taking was not his first setback. Fresh out of IIT Kanpur during the 2002 dot-com bust, Varshney recalled how he was rejected in 14 consecutive job interviews. He was held back primarily due to his spoken English. He addressed this gap during his MBA at IIM Lucknow, a lesson in resilience that came in handy when SpeEdLabs faced a commercial winter a decade later.

Founded in 2016, SpeEdLabs was conceived as a personalised and adaptive learning platform designed to help K-12 students prepare for competitive exams like JEE and NEET. Using algorithmic diagnostics, the software analyses a student's practice data to determine their 'proximal zone of learning', focusing efforts where incremental gains can be achieved.

TAMING THE GROWTH BEAST

Between 2020-21, amidst a global venture capital surge into EdTech, SpeEdLabs raised nearly $4 million and expanded its workforce to over 500 employees. However, as pandemic-induced remote learning tapered off, the company discovered a flaw in consumer behaviour where online engagement alone did not equal sustainable product consumption.

"When you burn a lot of money to scale much before your product-market fit has happened, you lose the bandwidth to fix what isn't working. Scale must strictly follow PMF, not precede it," he said. The issue was that students lacked the extra time to log onto an independent digital platform. No matter how accurate the analytics were, the platform lacked the necessary data stream if students couldn't find the time to use it.

REWIRING THE BUSINESS MODEL

Recognising the issue, SpeEdLabs adapted to a hybrid model wherein the company published physical textbooks directly mapped to its digital diagnostic application. Students could solve core exercises in print or on the app, feeding real-time performance data back into the adaptive engine without adding hours to their workload. Subsequently, SpeEdLabs cut its monthly cash burn rate which had reached ₹2 crore per month, by roughly 20% month-over-month. Supported by core investors such as 35 North Ventures, the executive team restructured the business around unit economics and frugal execution. The company expanded its reach from just nine partner schools in its early pilot phase to nearly 750 schools, currently serving over 150,000 active students. Financially, revenues increased from approximately ₹4.5 crore to ₹40 crore, before doubling again year-over-year in FY26. Operating margins followed a similar trajectory, turning EBITDA positive at 3.5% in FY25 before expanding to 11% in FY26.

EDUCATION AS THE ULTIMATE CURRENCY

Operating with positive operating cash flows, SpeEdLabs targets further EBITDA margin expansion to 17-18% in FY27 as fixed overhead costs stabilise relative to top-line expansion. Reflecting on the journey, Varshney feels that education in emerging markets cannot be solved by short-term consumer tech playbooks. For thousands of students from Tier 2 and Tier 3 towns like him, competitive examinations remain the primary lever for socio-economic mobility. "For middle and lower-middle class families, education is often the only currency available to break out of poverty. If you are playing a long game in this space, the primary duty of a founder is simply to survive the rough patches until the model holds," Varshney said.

Scan The QR code to watch the episode

Note: This episode of *Mint Rollin' with the Boss* was produced in partnership with *SpeEdlabs* with *Lexus* as the Luxury Partner.

Alpha Wave to sell 1.2% stake in Lenskart

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MUMBAI

Lenskart Solutions Ltd's secondary share sales show no signs of slowing, with Alpha Wave Global becoming the latest investor to offer to sell shares worth up to ₹1,313 crore ($137 million) on Friday, 28 August, according to a term sheet seen by *Mint*.

The New York-based asset manager is offering up to 20.8 million shares, or 1.2% of Lenskart's outstanding equity, through Alpha Wave Ventures II LP. The floor price is ₹630, a 1.7% discount to Lenskart's close of ₹640.60 on NSE Thursday. The sale has a 45-day lock-in. Spark Institutional Equities, a subsidiary of Mizuho-backed Avendus Capital and Kotak Securities are the bookrunners and brokers.

Alpha Wave Ventures II LP, a private growth and venture fund, is selling its entire stake in Lenskart. Alpha Wave, which focuses on growth-stage firms, will continue to hold 3.4% via Alpha Wave Ventures LP. Both are listed as public shareholders.

Alpha Wave (formerly Falcon Edge Capital) invested in Peyush Bansal's eyewear firm with Temasek in July 2021, leading a $220 million round, valuing the firm at $2.5 billion.

On 25 August, SoftBank sold ₹2,888 crore worth of shares, two months after offloading ₹2,873 crore in it. In July, Temasek sold 2% worth an estimated ₹1,940 crore, following a ₹1,944 crore secondary sale by Abu Dhabi's sovereign wealth fund.

For an extended version of the story, go to livemint.com.

Trent dials down Utsa stores as sales fail to gain traction

From a peak of over 20 Utsa ethnicwear stores about two years ago, the count is down to four

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Tata Group's Trent Ltd is winding down its Utsa stores after the affordable ethnicwear format failed to generate sufficient sales and profitability to justify a standalone store chain, according to four people familiar with the matter. From a peak of over 20 stores about two years ago, the count is already down to four, with shutters on another one coming up soon.

The brand was initially a sub-brand within Westside's ethnicwear portfolio, offering affordable kurtas, kurta sets, salwar suits and dresses, largely in the ₹1,000–₹3,000 price range.

"The company decided to launch standalone Utsa formats after seeing huge demand for the label across its Westside stores and also an attempt to capture the broader ethnicwear market share," said one of the people mentioned above. The first standalone store was opened in Pune in 2019.

There are currently four operational standalone Utsa stores: in Ahmedabad, Bengaluru, Hyderabad and Thiruvananthapuram. The one in Jubilee Hills, Hyderabad is set to shut down by 15 September, according to one of the above people familiar with the matter. *Mint* could not independently verify whether the remaining three stores will also be shut down.

Trent did not respond to *Mint*'s emailed queries.

The company has never formally disclosed the number of Utsa stores in its reports. However, according to a 27 June 2025 analyst report by HDFC Securities, Utsa had 22 stores across 12 cities in FY24, up from 17 stores across five cities in FY23. The network subsequently declined to 20 stores across 13 cities in FY25. The average Utsa store size was estimated at 2,000-3,000 sq. ft.

"Utsa wasn't generating enough sales to justify a standalone store chain, and its store-level profitability wasn't strong enough. There was also a degree of overlap with Westside, which offered customers much greater variety under one roof. The company was not very happy with Utsa as a brand or a store, and the decision was to draw it down," said two of the above people.

Some Utsa stores are now being replaced by Burnt Toast, a youth-focused lifestyle brand, stores at some of these locations, according to two of the people mentioned above. Details on these numbers or their locations were not given.

The pullback comes despite the size of the opportunity. Women's wear accounted for about 40% of India's ₹5.8 trillion apparel market in FY24, with ethnicwear making up 60–65%, according to a CRISIL MI&A report. The women's ethnicwear market is expected to reach ₹3.6–3.7 trillion by FY29, growing at 9-10% annually.

The four operational standalone Utsa stores are currently in Ahmedabad, Bengaluru, Hyderabad and Thiruvananthapuram. BLOOMBERG

EXIT MODE

SOME Utsa stores are being replaced by Burnt Toast, a youth-focused lifestyle brand

UTSA was initially a sub-brand within Westside's portfolio, offering affordable kurtas, kurta sets

WOMEN'S wear accounted for about 40% of India's ₹5.8 trillion apparel market in FY24

TRENT is facing competition across price points from major players like Aditya Birla Fashion

That makes the segment an attractive battleground for organized retailers, particularly ahead of the festive and wedding season, when ethnic and occasion wear typically sees a seasonal uplift in demand. Trent, however, is facing competition across price points from established players, including Aditya Birla Fashion and Retail's W, Aurelia and Jaypore, as well as Reliance Retail's ethnicwear offerings and digitally-driven brands such as Libas. Aditya Birla Fashion says its ethnic portfolio generated over ₹2,200 crore in annual revenue in FY26 and added more than 80 stores during the year. Libas, meanwhile, has expanded to more than 50 stores across 15-plus cities, besides its online business.

"Utsa had no clear moat," said Sandeep Abhange, research analyst, consumer & midcaps at LKP Securities. "Westside already covered the same customer, price point and category, leaving little incremental market and risking cannibalization... Its sales per square feet were not enough to cover rentals, while the narrow basket limited frequency. It was the wrong format for the right opportunity."

He said new Utsa racks are also not being spotted at Trent stores; "what remains is largely sale inventory".

Trent has, however, not entirely abandoned the ethnicwear opportunity. It launched the Samoh brand in 2023 as a more premium, elevated occasion-wear proposition, positioned above its mass and affordable fashion formats. Samoh's current assortment includes kurtas and sets priced at around ₹2,000–₹7,000, while the brand describes itself as catering to customers seeking sophistication and luxury in occasion wear.

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MOVES

A weekly list of C-Suiters who have moved up the corporate ladder either within or outside their companies.

Abhishek Bhalotia	Appointed as the **chief growth and people officer** at **360 ONE**
Asesh Kumar Mukherjee	Appointed as the **managing director** at **Voith Paper Fabrics India**
Bhupendra Kaushal	Appointed as the **chief human resources officer** at **AGGCON Equipments International**
Debashish Ghosh	Appointed as the **senior vice-president and head of human resources—India and Philippines** at **Infinx**
Deepak Deshmukh	Appointed as the **president and national sales head—B2B Channel** at **Polycab India**
Dr Monojit Banerjee	Appointed as the **chief risk officer** at **Vanguard India**
Hitesh Dhaddha	Appointed as the **group chief financial officer** at **Yashoda Hospitals**
Hrishikesh Parandekar	Appointed as the **chief executive officer** at **Kolte-Patil Developers**
Kadhar Mohammuad M K	Appointed as the **director—human resources** at **Staples India**
Kalappa K B	Appointed as the **group chief human resources officer** at **Sparsh Hospitals**
Manish Anandani	Appointed as the **managing director and chief executive officer** at **Colgate-Palmolive India**
Prathmesh Mishra	Appointed as the **chief executive officer and managing director—ready-to-drink alcoholic beverages business** at **Varun Beverages**
Raghavendra Prasad Mallaiah	Appointed as the **chief operating officer—defence and aerospace** at **TVS Supply Chain Solutions**
Rajneesh Srivastava	Appointed as the **head—technology transformation, development, core banking and delivery** at **Saraswat Bank**
Rakesh Thakur	Appointed as the **chief financial officer** at **Campus Activewear**
Ravi Goel	Appointed as the **chief of staff** at **Meesho**
Rishi Kapoor	Appointed as the **chief financial officer** at **MSM Unify**
Sandeep Bathla	Appointed as the **chief global operations officer** at **Imperial Auto**
Sanjeev Prasad	Appointed as the **chief human resources officer** at **Trianz**
Shavee Sehajpal	Appointed as the **chief human resources officer** at **3i Infotech**
Vikas Poddar	Appointed as the **chief financial officer** at **Torrent Power**
Vipul Mittal	Appointed as the **chief agri business officer** at **BigBasket**

Source: Accord India, executive search worldwide

L&T bets on owning new-age assets instead of building for others

FROM PAGE 1

direction of investments—aligned with opportunities in new high-growth industries and with our increased and growing capacity to invest," Anup Sahay, head of corporate strategy and special initiatives at L&T, said in an emailed response to *Mint's* detailed questionnaire.

"Our earlier high-value investments were in conventional infrastructure projects that were also in the nature of public goods or public utilities, such as metro, expressways and power plants. Our current investments are directed at new-age industries with high growth and with opportunity for technology play," he said.

Among its recent large capital investments is an electronics manufacturing plant in Tamil Nadu's Coimbatore that will provide contract manufacturing services and produce automotive components. The business was announced in April and will be housed under L&T Electronic Products & Systems.

Similarly, L&T Vyoma operates two data centres with a capacity of 32 megawatt (MW). In January, it broke ground on another 100MW facility in Navi Mumbai and also has a fourth facility being built in Whitefield, Bengaluru—with a total 200MW in planned additional capacity.

Additionally, L&T Energy Greentech is building a 10,000 tonnes-per-year green hydrogen plant for Indian Oil Corp. Ltd's Panipat, Haryana, facility, where it will own the asset and sell the gas to the oil marketing company.

L&T has not disclosed its investment in these projects.

The strategy of selectively owning assets marks a significant departure from the strategy L&T adopted a decade ago. In its 2016 five-year strategic plan titled 'Lakshya 2021', it decided to exit asset ownership in conventional infrastructure assets such as roads, metro rail projects, power plants and power transmission lines due to lower returns on investments.

It has since divested from its portfolio of road assets, a thermal power plant in Punjab, a metro rail project in Hyderabad and an electrical switchgear manufacturing business, among others.

According to Sahay, when its infrastructure projects failed to deliver returns in line with its aspirations, it divested them to maintain a strong balance sheet. This created a gap before the company could return to making large investments, he added.

"The current investments in data centres and AI infrastructure, in green hydrogen and electronics, are of high value. However, unlike the investment in the past, the current opportunities are amenable to investment in a calibrated manner," he said.

The projects will be developed in phases, based on reasonably certain visibility into customer demand and early revenue generation, he said.

The pivot was imperative for L&T to sustain its growth rate at its already behemoth-sized scale, according to Amit Anwani, vice-president and lead analyst for capital goods, industrials and defence at brokerage PL Capital. The company reported a top line of ₹2.9 trillion and booked fresh orders worth ₹4.4 trillion in FY26. Its total order book stood at ₹7.4 trillion at the end of FY26, and stands at ₹7.8 trillion currently.

L&T plans to own some of the facilities and earn revenue from the products and services they generate

"A data centre is different from a road or a metro project. The margins in these newer businesses are captured by selling the compute or the green molecules rather than just building these assets for others, so it makes sense that they are looking to own these assets," Anwani said.

"Now we need to see what kind of return ratios L&T can generate from these new businesses."

L&T reported 16.6% return on equity in FY26, excluding one-time cost impacts, according to the company's investor presentation. Even among newer businesses, the company has been choosy about where it will own assets. For instance, it has entered electronics manufacturing and semiconductor design, but it has stopped short of manufacturing semiconductors.

"L&T is not abandoning capital discipline. Its practice is to build a capital-heavy business, prove it and structure it for the next owner: cement went to Grasim in 2004 and the road concessions to an infrastructure fund in 2024. Vyoma.AI, a new subsidiary receiving the business at an independent valuation, follows that pattern," said Sanchit Vir Gogia, founder and chief executive of independent technology analysis and consultancy firm Greyhound Research.

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L&T had earlier decided to exit ownership due to poor returns.

Stars from 1990s return, but is nostalgia really helping?

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Several stars popular in the 1990s and early 2000s, including Emraan Hashmi and Sunny Deol, have seen a resurgence at the box office after a long run of underwhelming releases.

Hashmi's *Awarapan 2* had earned nearly ₹140 crore at last count, while Deol's recent hits include *Gadar 2* and *Border 2*, which made ₹525.45 crore and ₹341.70 crore, respectively.

While some point to these actors' ability to finally cater to their core fan bases with films that play to what they are best known for, others believe the comeback is more property-led than star-led, and largely limited to sequels and established franchises.

Such films build on older hits that have long proved their popularity, particularly on satellite television, while their music continues to generate nostalgia. In other industries, particularly the south, older stars continue to deliver hits, although their box-office pull has diminished considerably and theatrical earnings have largely hit a ceiling.

"There is clearly a growing interest in these established stars making a return to the big screen, but what really drives that interest is the context of the comeback. When a familiar star returns in a strong character, franchise or genre that resonates with audiences, it can create a very strong theatrical pull," said Ashish Saksena, chief operating officer-cinemas, BookMyShow.

A similar trend was seen in Bobby Deol's resurgence with *Animal*, and even Rani Mukerji's *Mardaani* franchise, according to Saksena.

"The opportunity, therefore, is not simply about a star coming back after a gap. It is about finding the right story, the right character and the right context for that comeback. The familiarity of the star can certainly drive initial curiosity and interest, but ultimately, it is the content that determines whether that interest translates into a successful theatrical run," Saksena added.

For a long time, several of these stars tried to cater to an up-market, elite audience. But with their recent films, they have been able to give viewers what they are best known for, according to film producer and distributor Yusuf Shaikh, also founder and chief executive of low-cost theatre chain Janta Cinema. "Add music and nostalgia to it and there is an immediate connection. Actors fail when they forget what their core audience expects from them," Shaikh said.

Deol's other recent release, *Batwara 1947*, a period drama, has failed to set the cash registers ringing.

To be sure, familiarity and nostalgia have always been strong drivers of audience interest, according to entertainment industry experts.

When there is an existing connection with a character, franchise or even a particular genre that a star is identified with, it creates anticipation around the actor's return. Music adds another layer to that recall, particularly for films with a strong musical identity.

Entertainment experts say familiarity and nostalgia have always been strong drivers of audience interest

"Sequels and franchises are definitely playing a part here. People flock to see movies when they are familiar with an IP," said Kamal Gianchandani, CEO, PVR Pictures Ltd. He added that both older audiences who watched the previous film and younger viewers who may have discovered it on streaming are contributing to the resurgence of these stars.

For an extended version of this story, go to livemint.com

Actor Emraan Hashmi has made a comeback with *Awarapan 2*, which had earned nearly ₹140 crore at last count.

Free cash flow crucial for Vi: Birla

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Vodafone Idea non-executive chairman Kumar Mangalam Birla said on Thursday that generating free cash flow is essential as the telecom operator targets three-year goals for subscriber growth, higher revenue, and increased cash Ebitda.

His remarks follow the company's strong June quarter (Q1FY27) results, reported earlier this month, which marked its first quarterly subscriber gain since Vodafone India and Idea Cellular merged in August 2018. Network expansion and rising data consumption have helped the operator cut losses while growing its revenue and operating profit.

Vi's net loss narrowed to ₹3,754 crore in Q1FY27 from ₹6,608 crore a year ago. Revenue from operations rose 6% year-on-year to ₹11,689 crore, while Ebitda grew 9.1% to ₹5,034 crore.

"Our business has started to look better on several operating parameters, as we have seen from Q1 results, and we are very hopeful and optimistic that this momentum will continue," Birla said at Vi's 31st annual general meeting.

In January, CEO Abhijit Kishore said the operator was targeting double-digit revenue growth, a three-fold rise in operating profit, and sustained subscriber additions over next three years, as it unveiled a ₹45,000-crore capex plan under its Vi 2.0 strategy.

However, market analysts point to a challenging path ahead. "We expect free cash flow losses to widen as Vi accelerates capex plan and spectrum payments start rising," analysts at IIFL Securities wrote in a note dated 19 August.

The proposed IPO will only comprise a fresh issue of shares, with no offer-for-sale component

It said Vi's free cash flow turned negative in FY25 and FY26 on a step-up in capex, generating negative free cash flow of ₹12,340 crore and ₹6,400 crore, respectively, after regulatory payouts.

To achieve its three-year target on cash Ebitda, analysts said Vi may need two rounds of tariff hikes in next 30 months.

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GIFT City needs more than tax breaks to win global finance

Transaction-level reporting needs may be making GIFT City less attractive to foreign brokers

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While Gujarat International Finance Tec-City, or GIFT City, is attracting growing interest from Indian investors seeking access to global markets, getting foreign investors and financial firms to set up operations remains a challenge for India's first International Financial Services Centre (IFSC), partly due to stricter reporting requirements.

GIFT City saw the number of Global Access Providers (GAPs)—intermediaries that enable investors to invest and trade stocks listed on overseas exchanges—rise to 18 by July, from just a handful a year ago, according to the International Financial Services Centres Authority (IFSCA).

Meanwhile, the number of investors using GAPs through India International Exchange (IFSC) Ltd, or India INX, rose to 6,044 by March, while the total traded value rose 11% year-on-year to $39 million, showed the IFSCA March-quarter bulletin.

However, the next challenge is to attract financial firms and investors from major financial centres such as Hong Kong, Singapore and Dubai, including foreign nationals seeking to use India as a base for global trading, as nearly 90% of investors trading through GAPs are Indians, said a GIFT City official close to the matter on condition of anonymity.

Market participants point to the reporting requirements attached to every trade as one factor that could be making the financial centre less attractive to foreign firms. The GAP framework requires intermediaries to comply with know-your-customer (KYC) and anti-money laundering (AML) norms, disclose information to clients, segregate funds, monitor trading activity and maintain transaction and trade data within the IFSC.

Nearly 90% of investors using Global Access Providers are Indians, highlighting the challenge of attracting foreign investors. BLOOMBERG

Sumit Chandra, founder and chief executive at Jarvis Invest, a stock advisory that considered setting up in GIFT City but ultimately chose the Dubai International Financial Centre (DIFC), said jurisdictions such as the DIFC and Singapore generally require annual and quarterly compliance reporting on areas including risk and KYC.

GIFT City, by contrast, also requires transaction-level reporting, meaning firms must report every trade executed on a global exchange.

These requirements are intended to ensure investments comply with transparency and investor protection rules, including those governing the use of funds under Liberalised Remittance Scheme (LRS), such as restrictions on derivatives and other non-permitted instruments, said Pradeep Ramakrishnan, executive director at the IFSCA.

"Without reporting, it would be difficult to monitor whether these rules are being followed, and one wrong investment could potentially put the entire GAP framework at risk. Since the investments are made through foreign brokers and the assets are held abroad, there is limited control over the rules of the foreign exchanges," he added.

The lack of a suitable omnibus structure for foreign firms could be another downer. "For many foreign brokers, their existing infrastructure is built around an omnibus model, and the ability to offer a comparable structure through the GAP framework would be important for them to scale their operations efficiently," said Ronit Kar, director and CEO of ViewTrade International IFSC Pvt. Ltd. "At least in the next 6-8 months, we do not expect a very high influx of foreign brokers bringing their customers to GIFT City for global trading," he added.

Data protection is another constraint. Some countries restrict the transfer of customers' personal information outside their jurisdiction. "An appropriately structured omnibus model could help address this concern by allowing the foreign broker to retain the underlying customer information, while the IFSC provider receives the information and order flow necessary to fulfil its regulatory and operational responsibilities," Kar said. This could let foreign customers access GIFT City without requiring brokers to transfer customer information outside the home jurisdiction.

Prime broking is another area where GIFT City has limitations. Globally, prime brokers connect clients to multiple exchanges, allowing traders to use a single pool of capital as margin across markets, enabling greater leverage without maintaining separate capital pools with different brokers.

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BEYOND INDIAN INVESTORS

GIFT City's Global Access Provider network has grown to 18, from just a handful a year ago

LACK of an omnibus structure at GIFT City limits the ability of foreign brokers to scale operations

DATA transfer rules pose a hurdle as some countries restrict sharing user data overseas

NASCENT prime-broking services make it harder to use capital and margin across markets

Hotel chains are betting on the luxury-budget sweet spot

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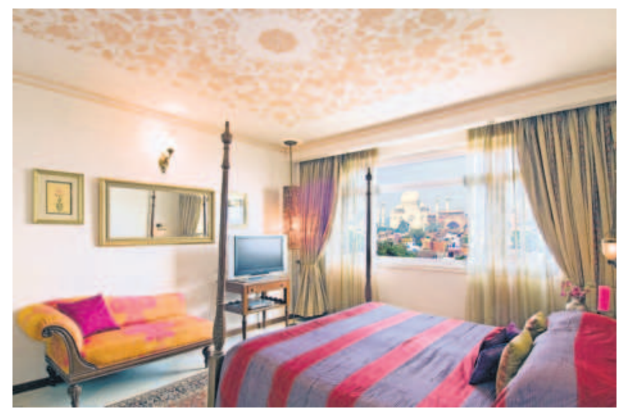
Top hotel chains are discovering a profitable middle ground between opulent palaces and budget stays, where rising consumer spend meets higher room rates. The strategy is taking shape across the industry as listed chains add hotels in the upscale and upper-upscale categories, with companies like Oberoi parent EIH Ltd and Lemon Tree Hotels saying that Trident and Aurika brands in these categories are doing the heavy lifting in leaner periods.

In October last year, ITC Hotels launched its upscale Epiq Collection of hotels as part of a premiumization strategy. Indian Hotels Co. Ltd (IHCL) on the other hand, has said it is expanding its portfolio across categories, while IHG Hotels & Resorts and Wyndham Hotels & Resorts, too, are also expanding in this segment. While luxury is at top end, upper-upscale sits below luxury and includes brands such as Trident, Hyatt and Marriott. Upscale is generally a full-service hotel and is positioned above midscale or mid market and economy hotels.

Hotel chains are expanding into upscale segments to tap premium demand without luxury-level overheads



Upscale hotels offer higher room rates than midscale properties, but at lower operating costs than luxury hotels.

Vikramjit Singh Oberoi, managing director and chief executive of EIH said in the June quarter earnings call that its Trident brand outpaced both industry peers as well as its own luxury brand Oberoi in terms of revenue per available room or RevPAR. While Trident grew 13.8% in RevPAR, the industry average in the upper-upscale segment was 9.2%, while Oberoi luxury brand, which is reliant on international travellers, grew at 8.2%.

For hotel companies, the appeal of upscale hotels is partly economic too. Ashish Jakhanwala, chief executive officer of Samhi Hotels, said that upscale properties can command higher room rates than midscale hotels because they offer a "fuller product", including larger rooms, restaurants, bars, gyms and pools. At the same time, their operating costs are generally lower than those of luxury hotels.

"An upscale hotel can, therefore, raise rates substantially when demand in a city is strong," Jakhanwala said. It is also better suited for domestic demand. In April, Samhi announced an agreement with Ikea's Ingka Centres to develop a 162-room upscale hotel in Noida's Sector 51. About 45% of its revenue currently comes from upscale properties, with the remaining 55% from midscale hotels, Jakhanwala said. As new properties open, the company expects the revenue mix to move to about 60-65% upscale and 40-35% midscale.

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Nepal flash flood turns valleys into debris fields

More than 350 people reported dead, while more than 1,000 remained missing in Nepal and neighbouring China

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NEPAL

Rescuers searched for survivors in the debris-strewn valleys and hillsides of Nepal on Thursday while more than 1,000 people remained missing there and in neighbouring China after a wall of ice, mud and rock collapsed into a mountain river, triggering a catastrophic flash flood.

Authorities in Nepal used helicopters to search for survivors and drop emergency supplies to thousands cut off in towns and valleys in the wake of Wednesday's disaster, which swept down a route thronged by trekkers and pilgrims that links Kathmandu with Lhasa in Tibet.

Police said 359 had died, with dozens of bodies swept down into the plains from where they were being recovered.

Nepal's disaster management authority warned of a potential new flood risk along the Bhotekoshi river after satellite images and preliminary analysis indicated that the river had been blocked and a lake had formed at the site of Wednesday's flood.

The lake is rising and could burst, the authority said, urging residents and rescuers along the lower banks of the river to move to safe areas away from the river.

Nepal's home minister Sudhan Gurung said the focus remained on finding survivors as rescue teams located 100 missing Indian visitors, mostly pilgrims, and 25 Chinese workers in the worst-hit region around Trishuli. Nearly 550 foreigners were still unaccounted for while Nepali authorities were yet to determine the number of locals missing.

The Red Cross said that entire villages had been destroyed and impassable roads and bridges had left communities cut off. The full scale of the disaster remains unclear, it added.

"It was a huge gush of mud coming straight towards us," said Keshav Prasad Baral, a 68-year-old survivor being treated in a Nepali hospital.

A wall of ice, mud and rock collapsed into a mountain river, triggering a catastrophic flash flood on Wednesday. PTI

"As it got closer, it kept rising higher and higher. When I saw it enter our home, I tried to grab my wife's hand and take her to the terrace. But she was swept away by the mud."

A helicopter ferried him to safety four hours later. "My wife is still somewhere beneath the mud," he added. "She's gone."

The tally of missing in Tibet's Gyirong County was 558, Chinese state broadcaster *CCTV* said on Thursday, including 260 foreign nationals. China said the death toll stayed at three.

The missing foreigners in Nepal belonged to more than two dozen countries, including 288 from India, 63 from the US, 51 from Malaysia, 34 from Australia, 33 from Britain and 25 from Canada.

China is in close communication with Nepal on search and rescue efforts, with nearly 100 Chinese nationals in the affected area across the border in Nepal, the Chinese foreign ministry said.

Nepal's disaster management authority warned of a potential new flood risk along the Bhotekoshi river

China's Premier Li Qiang, the country's No. 2 official, arrived at the disaster-stricken site in Gyirong on Thursday afternoon, state-run *Xinhua* news agency said.

The visit suggested Beijing was treating the disaster as a matter of the highest national priority.

The Gyirong border port has a key role in China's Belt and Road network linking the country to South Asia, with logistics parks, yards, and parking lots built there in the past decade.

Verified videos showed crushing masses of water and debris sweeping away dozens of people at a border crossing in Gyirong, with homes, roads and power projects washed away in Nepal as the flows travelled downstream.

Chinese government geologist Guo Zhaocheng said the ice-avalanche debris flow that caused the mudslide travelled at about 50 metres (165 feet) per second, leaving people little time to react, and extended for more than 20 km (12 miles).

Guo said a high-altitude ice avalanche triggered the debris flow, which picked up glacial moraine as it moved down a channel before becoming a mudslide that struck port facilities and areas on both sides of the China-Nepal border.

Ganesh Aryal, the administrator of Chitwan district, said authorities had recovered 103 bodies from the river system in his district which is about 100 km (62 miles) away in the plains from the worst-hit region of Trishuli.

With local hospitals unable to accommodate all the bodies, district authorities were setting up tents and making arrangements for families to claim their dead relatives, he said.

Nepal's Prime Minister Balendra Shah left by road to assess the flood situation in one of the worst-affected districts of Nuwakot, his office said on social media.

The disaster is a major challenge for Shah's five-month-old government but officials said the country had systems and officials who have experience in handling such tragedies, including the 2015 earthquake that killed nearly 9,000 people.

Early reports from Nepali officials suggested an earthquake in the area could have caused the lower part of a glacier to collapse and trigger the floods.

The US Geological Survey said an earthquake with magnitude initially reported as 4.4 was in fact seismic energy generated by the collapse of glacial rock and ice, followed by debris flow.

Beijing officially identified the cause of the disaster, with the Xinhua news agency reporting: "Cause of the Gyirong mudslide in Tibet identified: A high-altitude glacier collapse in Nepal."

Chinese authorities have also identified risks from a still-dammed lake in Gyirong, upstream from the mudslide and flood-stricken Tibet-Nepal border crossing that could complicate rescue efforts, particularly as rains are forecast, *CCTV* said.

On Thursday morning, the dammed lake was estimated at 2 million cubic metres in volume and was already overflowing, state media said citing the Chinese water resources ministry.

Another 3 million cubic metres of water — roughly 1,200 Olympic-size swimming pools — is expected to enter the lake over the next three days, posing a high risk of a breach, with peak flow expected around 1 September, it said.

Many of this week's victims were pilgrims headed to Kailash Mansarovar, a high-altitude site in Tibet revered by Hindus and Buddhists, among others.

Mount Kailash, which Hindus believe to be the home of Lord Shiva and which lies on the banks of Lake Mansarovar, is also held sacred by many.

Nepal floods: 288 Indians still missing

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Following the devastating flash floods in Nepal, 288 Indians remain missing, the ministry of external affairs (MEA) said on Thursday.

MEA spokesperson Randhir Jaiswal said the missing Indians included those working on hydropower projects and tourist groups. 21 Indians from Tamil Nadu were rescued, he said.

Jaiswal said that around 200 Indians in Tibet have also sought assistance from India.

India will continue to extend all possible support to Nepal to deal with the situation arising out of the flash floods, he added.

"There are 288 Indian nationals who remain unaccountable. These include 73 Indian nationals who are working on the Trishuli One Power Project. Our embassy in Kathmandu is in touch with the project head to get more details about these people," Jaiswal said.

"India is standing shoulder-to-shoulder with Nepal in this difficult time and we are ready to provide all assistance as per requirements of that country, he said.

Flash floods on Wednesday wreaked havoc across three districts in Nepal.

Alphabet shares hit an all-time high on 13 May. ISTOCKPHOTO

Alphabet loses 15% in value as questions on AI rise

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For much of the last year, Alphabet Inc. has been the Big Tech stock to beat as investors bet that it was the most-likely winner from the artificial intelligence (AI) boom.

Alphabet shares hit an all-time high on 13 May after soaring more than 150% in the previous 12 months, putting them among the 25 best performers in the S&P 500 Index over that stretch and far outpacing the other Magnificent Seven technology giants. But the momentum has reversed since then due to questions about a brain drain at Google's parent and fears that the company is losing its edge in AI.

The stock is down 15% from its peak, erasing $692 billion in market value and making it the second-biggest point drag on the S&P 500 in that span. At the crux of the selloff is Alphabet's suddenly shaky standing in the AI race, with its heavy spending on building out the infrastructure to develop the technology and the delayed release of its new Gemini AI model weighing on investor sentiment.

And then there's the personnel issue. A few months ago, Google lost two top employees to Anthropic PBC and OpenAI. Earlier this month, Jeff Dean, who was key to Google's AI strategy, departed to launch a startup and took several high-profile coworkers with him. And Demis Hassabis stepped down as chief executive officer of the Google DeepMind AI research lab, accepting a new role as chairman. Those moves sent Alphabet shares tumbling 4% on 5 August, erasing $186 billion in market value in a single session. Around that time, OpenAI CEO Sam Altman complained that Meta was offering his employees signing bonuses of as much as $100 million to join its top AI team. Meanwhile, OpenAI has lured more than 400 Apple employees with rich salaries and hefty stock option offers. And Apple has sued OpenAI for stealing trade secrets.

Hormuz crude oil flows rising as Gulf giants' ramp up accelerates

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The flow of crude through the Strait of Hormuz is creeping higher as producers across the Middle East boost exports in the face of Iran's lingering threat to shipping. The increase is keeping global crude oil prices in check.

About 6 million to 8 million barrels a day of crude are now being shipped through the world's key oil chokepoint, according to estimates from oil traders involved in and monitoring cargo activity. Flows slipped in July, when an onslaught of attacks on supertankers by Iran led to the breakdown of an interim ceasefire and heightened risks to navigation. They remain at roughly half prewar levels.

Still, estimates can be wide-ranging and volatile. Some trackers and US officials have suggested even higher volumes, though the security situation remains precarious. Two freighters were struck on Monday, according to the UK navy, a reminder that there's still significant peril when transiting. One factor helping sustain the increase is the highest earnings in the history of the supertanker market, adding for the incentive for shipowners to cross.

Either way, there are signs that producers across the region have been moving more oil in recent days. To enable that, a batch of tankers are doing shuttle runs, hauling barrels to just outside the Persian Gulf. Once the shuttle ships get there, their cargoes are then collected by waiting tankers that remain unwilling to go through the strait themselves. Every major regional supplier bar Iran is now selling its barrels for collection outside Hormuz.

"In the last few days, more oil seems to be coming out of Hormuz," Georgios Sakellariou, a freight analyst at Signal Maritime, an analytics company. "If it's sustainable, crude oil prices will stay down, although recently that has still meant something close to $85 a barrel."

Brent oil futures were trading at about $88 a barrel on Thursday, on course for the biggest weekly drop since late June when the interim ceasefire was still helping to keep shipments moving. The resumption of negotiations between the US and Iran over ending the war has also stymied prices this week. The boss of Europe's largest oil refiner said this week he is bearish on the outlook for crude prices, in part as barrels quietly escape Hormuz.

A sudden inflow of ships late last week has enabled higher loadings, and it isn't clear if more ships had entered in recent days to keep that pace going over the coming weeks.

Saudi Arabia had the highest number of tankers in several weeks at its export installations in the region on Tuesday, satellite images gathered by *Bloomberg* show. A day earlier, loading activity from Iraq's ports in the region even briefly exceeded above prewar rates. Smaller producers like Qatar and Kuwait are starting moving more too, adding to the momentum.

New teen safety measures for Instagram and Facebook are coming. Will they work?

Julie Jargon &
Meghan Bobrowsky

THE WALL STREET JOURNAL.

Teens will soon have a very different experience on Instagram and Facebook. These changes to the platforms are a key component of Meta Platforms's $18 billion settlement with 48 states to keep children safer online.

New features that will be automatically engaged on accounts of users ages 13 to 17 include daily time limits, nighttime off-limits hours and reduced functionality during school. To understand whether these changes will effectively lead to a safer experience on these social-media apps, we spoke to top legal and product executives at Meta as well as online-safety experts.

Meta says the features will roll out in the next six months. Here's a breakdown of what the new safety measures will achieve, and where they might fall short.

Time constraints

Endless scrolling is a huge concern for parents, and Meta has agreed to put in place a two-hour daily limit for teens across Instagram and Facebook as well as to block the apps between the hours of midnight and 6 a.m. (Direct messaging will remain available.)

Teens won't be able to change those settings without permission from a parent who supervises their account . But the company wants to create a level playing field in the industry so that teens don't migrate to competing apps. As part of its terms, Meta is asking that TikTok, YouTube and Snap agree to place the same daily time limits and nighttime restrictions on their apps. If those competitors don't comply within five years, Meta will lift its limits.

There is a "school mode" that mutes notifications during school hours. (Parents can loosen that restriction as well.) Teens or parents will also be able turn off the autoplay feature, which creates a bottomless video feed, but it isn't off by default.

Offering restrictions that teens can beg their parents to relax sets up a conflict between parents and children, says Josh Golin, executive director of Fairplay, a nonprofit child-safety organization. That is antithetical to the whole idea of offering default settings, he says.

However, if there is no parent overseeing a teen's account, there is no one for a teen to negotiate with.

Comparisons and algorithms

Meta is automatically hiding the number of likes and reactions that teens can see on their own posts as well as on other teens' posts. Online-safety advocates champion that change, as comparisons on social media can lead to self-doubt. (On the subject of self-esteem, teens will also now be automatically blocked from extreme-makeup filters in addition to all of the currently blocked filters.)

Teens won't be able to change those settings without permission from a parent who supervises their account. REUTERS

Another huge concern for parents is what Instagram's algorithm shows their teens. Feeds that use artificial intelligence to optimize for engagement and give priority to catchy content over more personal posts from friends and family, are often attributed to teen mental-health issues.

Now, there is an option for teens—or parents—to turn off the algorithmic recommendations. But the algorithmic feed will be on by default, at the objection of safety experts.

"Opting in to a non-personalized feed relies solely on teens or parents to make those changes themselves," Golin says. "I don't think most teens will understand what that means, let alone avail themselves of that option."

Verifications and workarounds

Kids often lie about their age when they set up social-media accounts. In recent years, companies have adopted AI tools to determine the likely age of the user . If it detects users who say they are adults but are really between the ages of 13 and 17, these restrictions will be implemented automatically. Meta says it will invest in stronger technology to detect and eliminate accounts of users under 13, which are prohibited.

Meta is asking that TikTok, YouTube and Snap agree to place the same restrictions on their apps

Meta also uses various signals to determine whether the person supervising a teen account—and thereby able to turn off key restrictions, such as the time limits—is actually the teen's parent. For example, if a parent account is created using the same device or email address the teen uses, that is a red flag.

But Meta acknowledges that it doesn't have a foolproof system for preventing teens from creating—or asking someone else to create—a fake parent supervisory account.

Another longtime workaround for teens has been to create secondary Instagram accounts of which their parents aren't aware. Going forward, parents will be notified when a teen links a secondary account, but it won't apply to teens' existing extra accounts.

Parental controls

Parental controls in general have become unduly burdensome for families as teens use multiple apps to communicate with friends. Online-safety advocates have long argued that the tech companies should simply design their products to be safe for teens.

Meta's previous move to make teen accounts more secure didn't require parental controls, though it gave parents the ability to enable extra restrictions, such as time limits, and to monitor their children's social connections.

These new restrictions appear to up the level of parental involvement, something online-safety advocates argue will put additional risk on teens in poorer communities.

"Parental controls only work in a household that has an adult with time, technical confidence, a smartphone and an account on the platform, fluency in the language the tools are offered in, and a stable relationship with the child," says Katharina Kopp, deputy director of the Center for Digital Democracy. "Children who have all of that are usually the children who are already best protected."

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NEWS IN NUMBERS

$12.9 bn

THE PRICE at which semiconductor giant Nvidia has agreed to acquire open-source AI model repository Hugging Face, according to reports.

7.30%

THE STAKE ICICI Prudential Mutual Fund now holds in SBI Cards and Payment Services, up from 5.18% earlier, following open-market purchases.

36.3%

THE PROJECTED share of festive season frontline jobs in South India for 2026, up from 35% in 2025, per the TeamLease Festive Season Workforce Report.

$39,800

THE APPROXIMATE cost of one-month supply of Rasonque, a newly US FDA-approved pill by Revolution Medicines for treating advanced pancreatic cancer.

2 mn

THE ADDITIONAL GPUs Amazon Web Services (AWS) and Nvidia plan to deploy across AWS data centres globally in 2027 and 2028, as they strengthen collaboration.

HOWINDIALIVES.COM

Pernod India sales rise by 7% in FY26

French spirits major Pernod Ricard on Thursday reported 7% growth in India sales for fiscal year 2026 (FY26) and said discussions are on for a potential initial public offering (IPO) in the country, its second-biggest market globally.

Pernod Ricard, which reported a decline of 3.9% in global sales due to a hit from markets such as the US and China, saw "market share gain" in India where it witnessed strong momentum reflecting underlying consumer demand and premiumization trends picking up.

The owners of brands such as Absolut and Chivas Regal said it sees "two cherries on the cake" for its India business, with the recently implemented India-UK free trade agreement and the prospect of a similar trade pact between India and the European Union.

Pernod Ricard's financial year runs from 1 July to 30 June. **PTI**

BoB debt raise tops $1 bn under central bank window

Bank of Baroda (BoB) has raised $400 million through reissuance of its 5.3180% August 2031 US dollar-denominated bonds at a higher yield, becoming the second state-owned bank and the fifth issuer overall to tap the central bank's discounted funding window for more than $1 billion, merchant bankers said. BoB, India's second-largest state-run lender by assets, will offer a yield of 5.3890% on the reissue, the bank said in a notice to stock exchanges.

Earlier in the month, BoB raised $400 million through three-year bonds at a 5.1140% coupon and $300 million through five-year notes at a 5.3180% coupon. The latest fundraise will take the total quantum raised by the bank to $1.1 billion, equivalent to the amount raised by the nation's largest lender, State Bank of India. **REUTERS**

Temasek-backed Sembcorp Green files for ₹3,750 cr IPO

Temasek-backed Sembcorp Green Infra Ltd (SGIL) has begun its stock market listing process, filing a draft red herring prospectus (DRHP) with market regulator Securities and Exchange Board of India (Sebi) for a ₹3,750 crore initial public offering.

The proposed IPO will only comprise a fresh issue of shares, and the entire proceeds of the sale will be received by the company.

The DRHP noted that the net proceeds of the issue would be utilized for "repayment/ prepayment, in full or in part, of all or certain outstanding borrowings" availed by the company and certain of its subsidiaries, along with general corporate purposes. As of June-end, its outstanding borrowings stood at ₹12,522.68 crore.

Sembcorp Green Infra is promoted by Sembcorp Utilities Pte Ltd, a wholly owned subsidiary of Sembcorp Industries, which is listed on the Singapore Exchange. Temasek Holdings is the largest shareholder in Sembcorp Industries, with a 48.93% stake. **RITURAJ BARUAH**

Lightspeed exits PhysicsWallah

Venture capital firm Lightspeed Venture Partners exited PhysicsWallah by selling its entire 1.61% stake in the edtech company for nearly ₹550 crore through a block deal on the National Stock Exchange. After the stake sale, PhysicsWallah shares fell nearly 1% to ₹125.19 on the exchange.

Lightspeed Opportunity Fund II LP, an affiliate of the US-based investor, sold 46,698,120 equity shares in Noida-based PhysicsWallah. The transaction was executed on Wednesday at an average price of ₹117.72 per share, totalling ₹549.73 crore.

A clutch of institutional investors stepped in to buy the shares, with 16 participants purchasing the stock at the same price.

ICICI Prudential Mutual Fund emerged as the biggest buyer, picking up , picking up 22 million shares, or around a 0.76% stake, for ₹258.98 crore. **PTI**

NHB classifies Star Housing Finance account as fraud

Audits flagged alleged phantom loan accounts, diverted funds, other irregularities

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The National Housing Bank (NHB) has classified Star Housing Finance Ltd's (SHFL), formerly known as Akme Star Housing Finance Ltd, refinance account as "fraud" after snap and forensic audits flagged alleged phantom loan accounts, fund diversion and other irregularities at the company, according to a document reviewed by *Mint*.

The forensic audit by Ravi Rajan & Co Llp flagged ghost/phantom loan accounts, alleged siphoning of funds through phantom loan disbursements, use of loan funds for share-market manipulation and disbursement of unsecured loans to employees and others through the company's loan management system, according to the order.

SHFL acknowledged receipt of the order and said it was "working towards taking necessary corrective steps to address the said findings," in response to *Mint*'s queries sent on Thursday morning.

The April snap audit had flagged the creation of phantom loan accounts, including for transferring funds to non-individual clients, disbursements to invest in shares of the company and the adjustment of receipts towards closure of phantom loan accounts. The audit raised further concerns around EMI receipts through journal entries, management of non-performing assets (NPAs), and the overstatement of revenue through recognition of income on phantom loan accounts. It also flagged suspected bogus expense vouchers, the creation of suspected ghost fixed assets and instances where the same underlying loan pool was allegedly hypothecated to multiple lenders.

MINT

The company is also seeking a change in ownership, with a potential investor seeking a majority stake through the purchase of shares held by the promoters and the single largest shareholder. The investor has proposed a primary capital infusion to strengthen the balance sheet, subject to regulatory approvals, the company said in an exchange filing on Thursday.

The measures are expected to result in new ownership and a complete transition of the existing promoters and the current single largest shareholder, the company said.

For an extended version of this story, go to livemint.com.

This would be Vedanta's third domestic issuance since raising a total of ₹7,575 crore in March. REUTERS

Vedanta plans third rupee bond of 2026

Vedanta Ltd, the Indian resources conglomerate controlled by billionaire Anil Agarwal, plans to raise at least ₹1,000 crore through local-currency bonds in the next few weeks, according to people familiar with the matter, as more companies tap the debt market amid signals interest rates may rise.

The planned notes will have maturity that could range between three years to seven years, the people said. The proceeds will largely be used to refinance debt, they said, adding that the bankers participating are likely to be finalized soon.

It would be the conglomerate's third domestic issuance since raising a total of ₹7,575 crore through two bond sales in March. A representative at Vedanta didn't immediately respond to an email seeking comment. **BLOOMBERG**

Temple founder Deepinder Goyal announced the acquisition on Thursday. MINT

Goyal's Temple buys Longevous

Health-tech startup Temple has acquired Longevous, a London-based longevity medicine practice, as it looks to strengthen its clinical and scientific expertise ahead of the planned launch of its wearable device.

Temple founder Deepinder Goyal announced the acquisition on Thursday. Longevous founders Dr Robert Mohr and Dr Avi Roy, along with their team, will join Temple full-time. The financial terms of the deal were not disclosed.

Temple is a compact wearable device designed to sit on the temple, the area on the side of the head between the forehead and ear. The device is designed to continuously track cerebral blood flow and oxygenation levels in real time.

Announcing the deal on X, Goyal said the Longevous team brings "deep clinical expertise and publication experience" that will support Temple's in-house science team as it prepares for launch.

Mohr will join Temple as Chief Medical Officer, while Roy will become Temple's Head of Science. **STAFF WRITER**

'M&E market to hit $36.7 bn by 2030'

India's media and entertainment (M&E) market is projected to grow at nearly twice the pace of the global industry through 2030, with digital advertising, OTT and gaming expected to drive much of the expansion.

The sector is projected to grow from $25.7 billion in 2025 to $36.7 billion by 2030, a 7.4% compound annual growth rate (CAGR), nearly twice the global industry growth rate of 4%, according to the India findings of PwC India's *Global Entertainment & Media Outlook 2026-2030*, released on Thursday.

The shift is being driven by digital ecosystems, regional content and technology-led revenue streams, the report said. Internet advertising, OTT video and gaming are expected to account for a large share of the sector's incremental growth, while advertising-supported models are opening up new monetization opportunities across digital media. **LATA JHA**

'Sebi close to approving NSE IPO'

The Securities and Exchange Board of India (Sebi) is likely to approve the National Stock Exchange's (NSE) initial public offering (IPO) soon, bringing India's largest stock exchange closer to its debut in the capital markets after a decade-long wait.

"Yes, we are close (to giving approval to the NSE IPO)," said Sebi chairman Tuhin Kanta Pandey on the sidelines of an event on Thursday.

On whether NSE would be able to offer its shares on its own platform, the regulatory chief said the decision is yet to be thought about. "We have not thought about it yet (allowing NSE shares to trade under the permitted to trade category). We will have to think about it."

NSE filed the draft red herring prospectus for its approximately ₹30,000 crore IPO with the market regulator in June, reviving a listing plan that was effectively frozen by a series of regulatory and legal disputes dating back to 2015.. **APOORVA AJITH**

GST Council may consider tax cut on mobile phones

FROM PAGE 1

FY31. It is aimed at scaling up mobile phone production, increasing domestic value addition and strengthening the local manufacturing ecosystem.

"Though the GST reforms have brought significant relief to consumers, with prices of most items declining substantially, it has come to the Council's notice that prices of some consumer durables and medicines have increased," the second person said, adding that the Council will review the reasons behind the increase in prices.

"The Council will work towards addressing any such lapses and ensure that the benefits of GST rate reductions are fully and effectively passed on to consumers," this person added.

The GST Council is a constitutional body comprising the Union finance minister, the Union minister of state for finance and the minister in charge of finance, or any other minister nominated by each state government.

Queries emailed to the spokespersons of the finance ministry and GST Council Secretariat remained unanswered till press time.

Before the GST 2.0 reforms last year, the previous four-slab structure was replaced with a simplified framework of 5%, 18% and a special 40% demerit rate.

Experts say the GST benefits must be passed on to users. PTI

A March 2026 study by National Institute of Public Finance and Policy (NIPFP) professor Sacchidananda Mukherjee and research fellow Shivani Badola found mixed evidence on the transmission of GST cuts to consumers.

The study noted that the average CPI (consumer price index) for medicines increased from 103.86 in May-August 2025 to 104.26 in October 2025-January 2026, despite many medicines moving into the exempt or 5% GST category.

The CPI for shampoo and related hair products rose from 103.30 to 104.40, while toothpaste, mouthwash and toothbrushes increased from 103.19 to 103.92 during the same periods.

The trend was more pronounced for some personal-care products. The CPI for hair oil and hair colour rose 2.77% from 104.73 to 107.64, while that for body powder, cream, body lotion and moisturizers increased 1.14% from 104.55 to 105.73.

However, the study also found evidence of price transmission in some categories. Air-conditioner prices fell 6.4% and motor car and jeep prices fell 7.52% between the two periods, while motorcycle and scooter prices declined 5.19%.

Experts say the GST benefits must be passed on to users.

"The GST cuts were expected to have a sobering impact on consumer prices. We experienced a big disruption by way of trade tensions and then the Middle East conflict, leading to a significant increase in input costs for the industry. The GST related rationalization as well as manufacturers passing on the higher cost of production partially has helped the inflation to remain within the targeted band of MPC," said Ranen Banerjee, partner and leader, economic advisory, PwC India.

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For an extended version of this story, go to livemint.com

Sugar price increase puts FMCG margins under renewed pressure

FROM PAGE 1

sumption cover ahead of the festive season.

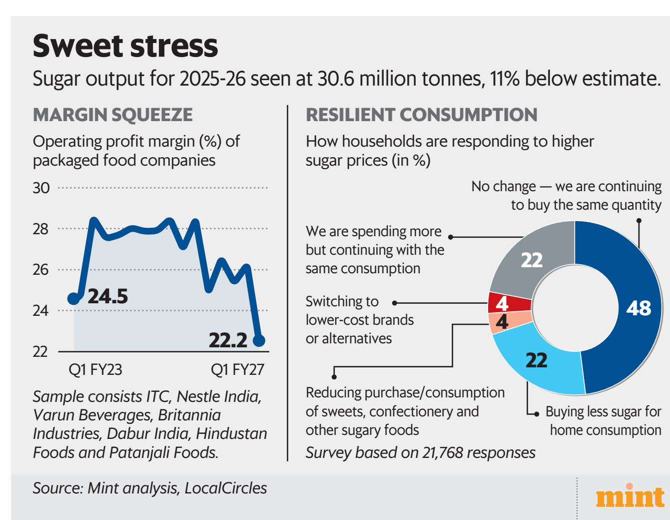
Analysts expect the supply squeeze to worsen food companies' margin woes. "We estimate 50-80 bps gross margin compression and 20-50 bps Ebitda margin pressure for the affected companies," said Saurav Chaube, equity research analyst at Samco Securities.

However, Chaube believes companies can soften the blow by making calibrated price hikes, grammage cuts and lower advertising spends. But their ability to pass on higher costs may be limited, given that consumers have already faced price increases across several packaged food products in recent months.

According to Bizom, a consumer analytics firm, consumers paid 6-9% more year-on-year for milk-based drinks, 8-10% more for chocolates and confectionery and 4-6% more for snacks and biscuits in the June quarter.

This appears to have dampened consumer sentiment. Aggregate net sales growth for the packaged food makers analysed by *Mint* slowed to just 5% in Q1 FY27, from 13% in the same period last year.

The July CPI inflation stood at 4.5%, sharply above last year's 1.6%, as food inflation stayed above 5% for the second consecutive month. A 35% jump in retail sugar prices in just a month, from ₹48.2 per kg on 20 July to ₹65 per kg by 27



SATISH KUMAR/MINT

August, along with rising onion prices, could push food inflation closer to 6% and headline inflation above 5% in August, said Madan Sabnavis, chief economist at Bank of Baroda.

Still, sugar consumption has remained largely resilient. A recent LocalCircles survey found that 48% of households were buying the same quantity, while 22% had cut purchases and 4% had switched to cheaper alternatives.

"Raw sugar consumption is unlikely to fall significantly because its demand is relatively inelastic," Sabnavis said. "But higher prices could curb discretionary spending on sweets, beverages and confectionery, with the unorganized sector likely to be hit harder during the festive season."

He expects grammage cuts could keep reported September-quarter volumes and headline growth optically stable, even if underlying consumer sentiment weakens.

However, an industry association has a slightly different take. "Rising sugar prices are definitely going to dent consumer sentiments and affect spending decisions during the festive season," said Kumar Rajagopalan, chief executive officer of Retailers Association of India. "Companies might also take a margin hit as sugar prices, along with other raw materials, rise."

Experts believe prices will stay high as companies stock up for the festive season, despite fresh arrivals expected beginning October.

For an extended version of this story, go to livemint.com

WHY INDIAN FACTORIES NEED A MAKEOVER

They are masters of electronics assembly. But India's plants need to automate to genuinely Make in India

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(Clockwise from the top) An Optiemus factory worker checks the screen atop a surface-mount technology machine; the capacitor manufacturing unit of Deki Electronics in Noida; Optiemus MD Nitesh Gupta (in white coat), and Bijoy Alaylo, director and COO, TP-Link India, on the Optiemus factory floor in Noida; and Syrma SGS' electronics component factory in Gurugram. PRADEEP GAUR

Inside the Optiemus Electronics Ltd (OEL) factory in Sector 65, Noida, a bare green printed circuit board (PCB) etched with copper pathways enters one end of a production line. As it passes through, machines deposit solder paste and place tiny electronic components on it at high speed. Next, software is loaded, connections tested, and casings fitted. Eventually, a finished Wi-Fi router emerges. The journey of that router is also a small illustration of the shift India is trying to make.

OEL, a contract manufacturer, is making the routers for TP-Link, a California-based networking-equipment company that has moved its production from China to Vietnam, Brazil and India. It began working with Optiemus last year. Besides OEL, Silvassa-based Pacific Cyber Technology (PCT) and Manesar-based Vivaan Electronic Technology are making TP-Link products in India.

"We make routers at the Optiemus factory in Noida from a bare PCB level—that is, from scratch to the finished product," says Bijoy Alaylo, director and chief operating officer, TP-Link India.

The Optiemus plant has produced more than one million routers for TP-Link in roughly a year. This isn't simply a screwdriver operation in which imported kits are snapped together. Component mounting, software and firmware loading, testing, final assembly and packaging take place at the facility, much of it automatically, using surface-mount technology (SMT).

Among other things, SMT features robots placing tiny electronic components on a PCB to make a finished product. Optiemus has eight fully automated SMT lines as well as 62 final product assembly, testing and packaging lines.

Optiemus, a 33-year-old company that also makes products for other global and Indian brands, is not alone. Led by the government's Production Linked Incentive scheme (PLI), other contract manufacturers, such as Syrma SGS, Dixon Technologies, VVDN, and Sahasra Electronics, which have been operating for several years, have scaled up in recent times.

While they have proven themselves capable when it comes to assembling products, they have to raise their capabilities and learn to make more of the components that go into products such as smartphones, computers, hearables, wearables. Those components include camera modules, displays, resistors, capacitors and so on.

On a national scale, it's a challenge that will require upgrading thousands of factories so Indian manufacturers can compete with global leaders on quality, precision, speed and cost.

LITTLE VALUE ADDITION

Government incentives have helped turn India into a major electronics assembly base, particularly for mobile phones—55 million iPhones, accounting for 14% of Apple's production, are assembled in India by Foxconn, Pegatron and Tata Electronics. In 2025, smartphone exports touched $30 billion, with iPhones accounting for 76% of the total, as per the ministry of commerce and analysts. The next policy push is looking to go deeper inside the device.

Under the Electronics Components Manufacturing Scheme, or ECMS, ₹69,000 crore of investment has come in, exceeding the scheme's original investment target by ₹10,000 crore. The government has approved 106 projects, to make speakers, microphones, camera modules, displays, relays, coils, rare earth magnets and so on.

> For all the gleaming new production lines, local value addition in India remains modest, at 15–18%, versus 40% in China. Critical chips continue to be imported.

"India will emerge as a global hub for electronics, semiconductor design, electric mobility and advanced aerospace production," says Deepak N.G., managing director, Dassault Systèmes India.

Domestic manufacturing now meets India's requirement for some products, such as plastic enclosures, anode materials, optical transceivers and relays. Local factories meet 60% of lithium-ion-cell demand, 80% of laminate demand and 75% of connector demand.

Some components, including networking equipment, relays, LED lighting parts and automotive electronics are beginning to be exported to China, Vietnam, Singapore, Italy, The Netherlands and other countries.

But for all the gleaming new production lines, local value addition in India remains modest, at 15-18%, versus 40% in China. Critical chips continue to be imported. Printed circuit boards, sensors, and specialized materials are only beginning to be produced locally at scale. Precision components that go into earbuds, hearables, wearables, smartphones et al. depend on imports.

The manufacturing ecosystem is patchy. Partly automated, partly manual and dependent on legacy equipment.

"Some companies, like Tata Electronics, run largely automated units," says Aditi Sharma, co-chairperson of Assocham's National Council on Manufacturing, and chief manufacturing excellence officer at auto components maker Uno Minda. Semiconductor and advanced electronics factories, she says, have little choice but to automate.

But much of Indian industry remains in "hybrid mode"—mostly manual with some automation. Closing that gap, Sharma argues, will require manufacturers to stop treating automation as a sequence of incremental purchases. "It will not happen on a piecemeal basis. We need to put capacity ahead of demand," she adds.

India's attraction as a manufacturing destination has rested partly on abundant, low-cost labour, with little automation or even deployment of robots.

For instance, robots today handle component placement, precision assembly, dispensing, screw fastening, inspection, testing, packaging and material movement. Warehouses are experimenting with autonomous mobile robots and automated guided vehicles. Artificial intelligence is moving into visual inspection and predictive maintenance.

Globally, the electronics sector was the largest customer for new industrial robots in 2024. South Korea now has about 1,220 industrial robots for every 10,000 manufacturing employees.

Driven by rising labour costs and an ageing workforce, China moved up the 2025 automation rankings, issued by the Munich-based International Federation of Robots, with 166 robots per 10,000 workers. Foxconn, Xiaomi and other manufacturers in China have started using robots extensively for electronics micro-assembly (as small as a grain of salt), logistics and warehouses and some companies are moving towards fully robot-run factories.

India remains far less robot-intensive, with just around 30 robots per 10,000 employees, though that is a big leap from seven robots in 2021.

"Automation has increased significantly over the last five years," says Pankaj Mohindroo, chairman of the India Cellular & Electronics Association (ICEA). But he estimates automation capital expenditure in much of Indian manufacturing to be below 5% of total plant and machinery investment, compared with 20% to 50% in advanced manufacturing economies.

That gap is partly a legacy problem. Installing a new automated line is one thing. Re-engineering a decades-old factory around robotics, sensors, software and data systems is another. At Deki Electronics, a Noida-based capacitor maker, managing director Vinod Sharma sees automation arriving mainly when new capacity is created.

"Nobody is retrofitting old equipment with automation. But as we are expanding capacity or setting up new capacity, the level of automation that's already built into these capital goods is quite interesting," adds Sharma, who is also co-chairman, information communication technology and electronics manufacturing, at the Confederation of Indian Industry (CII).

Deki is planning to deploy robots to spray metal onto capacitors. The metallization process generates a fine spray dust. The company has to spend money on dust collectors and other safeguards for workers. A robot changes the calculation. "Nobody needs to go to that room," Sharma says.

Hardware maker Lenovo's automation includes robotic inspection systems using edge AI and multimodal sensors, automated guided forklifts that can load and move materials, and autonomous mobile robots that calculate routes and assist workers in warehouses.

The change over the past five years, says S.K. Venkataraghavan, director, solutions and services group, Lenovo India, is that "previously robots were largely used for fixed, repetitive tasks in controlled environments. Today, they are becoming intelligent, connected and autonomous. They are able to perceive their environment, make real-time decisions and work alongside people".

CAPACITY BEFORE DEMAND

That transformation needs to accelerate for India to become a global manufacturing powerhouse. "We have some 50-year-old factories and we are expecting them to become factories of the next 50 years. That thought process is our bottleneck," says Assocham's Sharma.

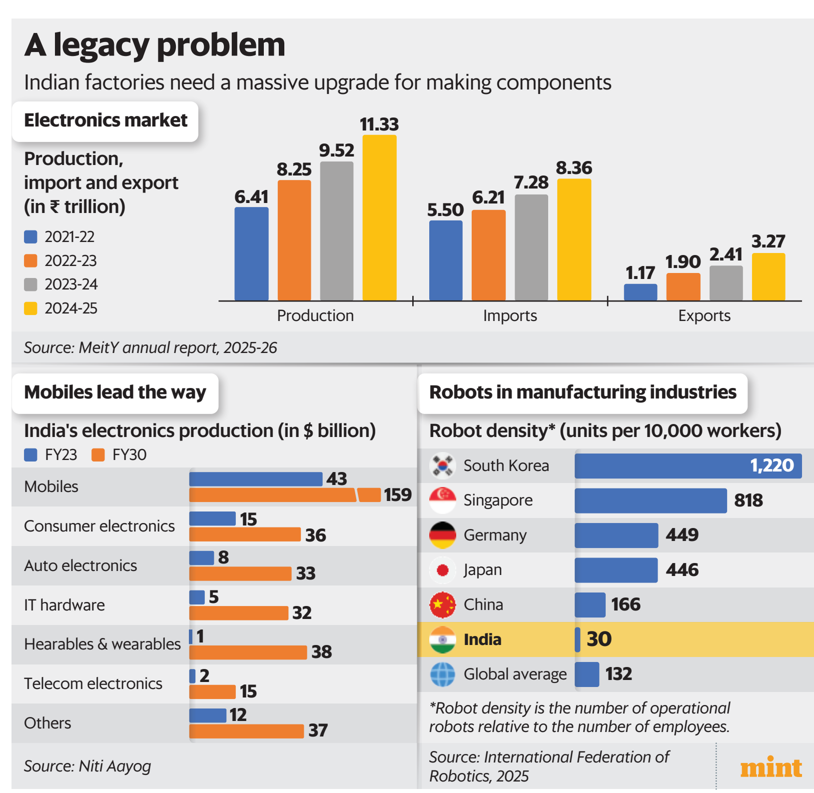
But component makers argue that incentives for final assembly can sometimes produce adverse results. "If I know that I'm only going to be mitigated by 5% (that is the PLI cashback), then I only assemble. Why would I do more than that?" says Deki's Vinod Sharma.

mint KEY NUMBERS

55 MILLION
Number of iPhones assembled in India in 2025, by Foxconn, Pegatron and Tata Electronics, making up 14% of Apple's output.

$30 BILLION
Total value of India's smartphone exports in 2025, with iPhones accounting for 76%, as per the commerce ministry and analysts.

₹69,000 CRORE
Value of investments made under Electronics Components Manufacturing Scheme, ₹10,000 crore above the target.



MANU CHOUDHARY/MINT

The problem has pushed policy toward component-level incentives. Under the IT-hardware PLI, for instance, localization can increase the incentive manufacturers receive. ECMS is intended to create suppliers for various products, including PCBs, camera and display modules, capacitors, connectors, enclosures, materials and semiconductor packaging.

For manufacturers, this is potentially the bridge between India's assembly phase and a genuine electronics ecosystem. "The PCB guys didn't exist earlier. But now with the ECMS coming, you will see five or six new PCB plants coming up," adds CII's Sharma. For instance, Gurugram-based Syrma SGS is setting up one of the largest PCB units in India in Andhra Pradesh, with trial production starting by the end of this year.

Optiemus Electronics managing director Nitesh Gupta describes India's journey as being "between phase two and phase three". Phase one was assembly. Phase two begins with the PCB, mounts the components, loads firmware, tests the device and completes the finished product. Phase three is localization: making the parts that feed those production lines.

Plastics, heat sinks, shielding covers, battery packs, chargers and cables are already increasingly local. The next round includes PCBs, display modules, camera modules, passive electronic components and semiconductor packaging.

There is another constraint, one that can't be solved simply by constructing factories. As George Paul, director for strategy and government relations at Sahasra Group, put it, "For local value addition, the design needs to be yours."

When a company owns the design, Paul says, it can substitute a component and test whether the revised product works. A contract manufacturer assembling somebody else's design may not have that freedom. Sahasra operates across electronics manufacturing services and original-design manufacturing.

While India's contract manufacturers are becoming larger and more sophisticated, what is missing is the layer of companies designing products and owning technology.

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A DIGITAL TWIN

As India tries to deepen the physical supply chain, another industrial transition is occurring simultaneously: factories are being recreated virtually.

Deepak N.G. of Dassault Systèmes India expects Indian manufacturing over the next five years to move toward "virtual twin-led engineering, software-defined production and sustainable manufacturing". A virtual twin is like a copy of the actual physical factory, which helps companies plan better, manage breakdowns, cut costs and overall run plans efficiently.

A digital model can allow engineers to design a factory, simulate production flows and test changes before moving physical equipment. Artificial intelligence can optimise designs. Manufacturing execution systems can track what is happening on the shop floor. Cloud platforms can connect design, suppliers and production. Virtual validation also reduces dependence on expensive physical prototypes.

Doug Warren, senior vice president, monitoring and control business, at industrial software company AVEVA, says India is one of Asia's fastest-moving automation markets. In more mature markets many manufacturers have spent years standardizing controls and operations, connecting plant systems and using real time data to drive reliability, output and quality.

"India has pockets of global best practice—especially in large manufacturers and export linked supply-chains—but adoption is more uneven across the long tail," he adds.

It requires reliable electricity, cheaper capital, logistics, skilled workers,

TURN TO PAGE 11

What's behind your loan rate? RBI wants banks, NBFCs to spell it out

The central bank proposes common loan-pricing rules for banks and NBFCs to make loans easier to compare

Ananya Grover
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MUMBAI

In a move to make loan pricing more transparent and easier to compare, the Reserve Bank of India (RBI) has proposed common rules for how banks and non-banking financial companies (NBFCs) set and revise spreads over benchmark rates for retail, personal and business loans..

Currently, banks largely set spreads through internal policies, while non-banking financial companies (NBFCs) can choose their own benchmarks. This has created varying pricing methods, making it difficult for borrowers to compare loans.

For floating-rate retail and micro, small and medium enterprise loans, banks must use external benchmarks such as the repo rate, Treasury Bill yields or Secured Overnight Rupee Rate (SORR). Non-banking financial companies and housing finance companies, which rely more on wholesale funding, have greater pricing flexibility as their funding costs can move differently from the repo rate.

The result can be opaque pricing, unexplained rate change and delayed transmission when rates fall. RBI's proposed framework seeks to bring greater transparency, consistency and comparability to loan pricing.

What's proposed

Through draft directions released earlier this month, RBI proposed a unified, enforceable framework from 1 April 2027 for regulated entities, including commercial and cooperative banks and NBFCs.

A floating loan rate comprises a benchmark and a spread. For example, a 5.25% benchmark plus a 2% spread results in a 7.25% lending rate. The spread can include a credit-risk premium, which largely depends on the borrower's risk profile, operating costs and commercial considerations.

Under the proposal, non-credit-risk components of the spread cannot change for three years. The credit-risk premium can be revised if the borrower's credit profile changes, subject to a thorough review.

Lenders could also have to pass on benchmark-rate changes within three months. Agriculture loans, smaller rural and urban cooperative banks and Base Layer non-banking financial companies are excluded.

Lenders will continue to set spreads under their own policies, but must specify how each component is calculated and the applicable range for different loan categories. The spread would comprise a credit-risk premium and one or more other components.

Rajat Deshpande, chief executive and co-founder of FinBox, said the changes could make pricing easier to understand. "Breaking the spread into named components, such as credit risk premium, operating cost, term premium, business strategy premium, makes comparing that of banks and NBFCs, possible for the first time," he said, adding that the draft standardizes pricing disclosure more than what gets charged.

Small-ticket loans

For personal loans up to ₹50,000, the RBI has proposed a board-approved ceiling on annual percentage rates (APR) to curb excessive borrowing costs. APR captures a loan's total annual cost, including interest and other charges, in a single figure.

Financial consultant Vinod Kothari said the proposal could concern small-ticket lenders but should benefit borrowers by putting pricing responsibility at the board level and requiring a disciplined methodology.

Applying the same APR disclosure and ceiling requirements to non-banking financial companies as banks will give borrowers a common yardstick to assess credit cost. They could, for instance, compare a two-week digital loan with a bank credit card or personal loan after accounting for interest, fees and other charges.

BNPL gets checked

Through separate draft directions, the RBI has proposed restricting non-banking financial companies from offering revolving credit, requiring them instead to provide term loans.

Many apps offer revolving credit lines similar to Buy Now, Pay Later (BNPL) products. After repaying a short-term loan, borrowers can immediately draw again, incurring a fresh fee each time and potentially getting trapped in a cycle of high costs.

The RBI has proposed banning such continuous credit lines, except for non-banking financial companies authorised to issue credit cards. Lenders would instead have to offer standard term loans and stop automatically rolling over debt.

Siddharth Agarwal, founder and MD of Mobicule Technologies, said digital lending's advantage was not just instant access to a revolving limit but the ability to manage the entire credit relationship, from disbursal to repayment, in a data-driven way.

"If revolving BNPL-style credit gets constrained, disbursal becomes less of a differentiator and repayment management becomes more of one," he said, adding that lenders will increasingly be judged on how well they manage the loan after disbursal.

The RBI has also paired these directions with daily interest computation rules to prevent overcharging.

Under its 2024 Fair Practices Code circular, the RBI directed lenders to stop charging interest for periods when a loan was not outstanding. The new draft would go further by standardising daily reducing-balance calculations and the day-count convention across covered lenders.

Lender concerns

The proposed standardization may tighten pricing for high-risk borrowers and squeeze lenders' margins.

Mangesh Zope, founder, PeacefulLoans, said NBFCs use introductory rates to attract customers and later widen spreads, calling this "rate bait".

Spreads buffer volatile borrowing costs, Zope said. Locking them for three years could push lenders to raise upfront rates or tighten credit requirements.

Nakul Saxena, business head, home loans, Kotak Mahindra Bank, said the RBI's objective was clear: the end customer should benefit. "Under these new rules, a lender's pricing must strictly align with their actual borrowing costs—meaning whatever your average cost of funds has been over the trailing three months, that real-world rate must be fairly passed on to the borrower," he said.

Deshpande said the repricing rules would make it harder to widen spreads on existing borrowers while offering sharper rates to new ones, though the practice would not become impossible.

"If credit risk is the component that moves most freely, lenders will set it conservatively at sanction to cover three years. Borrowers with no repayment history to show will pay for that caution, and under this framework they'll carry it for three years instead of until the next review," he added.

Zope said lenders were unlikely to absorb the margin hit. Processing fees could rise, starting rates become less attractive or other charges appear elsewhere in the loan structure.

What borrowers gain

The draft directions on interest rates on loans and advances are open for public comments until 11 September 2026; the draft on Non-Banking Financial Companies–Credit Facilities is open until 28 August.

The proposals may not make loans cheaper. Lenders could price risk more conservatively upfront, with margin pressure surfacing through higher processing fees or less competitive starting rates.

The bigger gain could be comparability. If lenders must break down spreads into the same named components, borrowers can compare bank and NBFC loans more easily and see what they are paying for.

The bigger change, therefore, may be not cheaper credit, but credit that is easier to understand and compare.

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Loan rates decoded: what RBI wants

RBI's proposed framework would standardize spread components, speed up benchmark-rate transmission and tighten small-ticket credit rules.

How your loan rate is built

Benchmark + spread = **Final rate**

Components of a spread

- **Credit risk** premium or risk associated with the borrower and credit facility (for example, a secured loan is less risky than an unsecured loan)
- **Operating costs** incurred by the lender for raising, originating, and servicing the loan
- **Term premium** associated with the tenor of the loan (higher for longer terms)
- **Business strategy** premium includes lender's business considerations like profit margin or competitive pricing

How RBI's proposal could change loan rates and NBFC credit

Aspect	Today	Under the draft (from April 2027)
Applicability to NBFCs/HFCs	Conduct-related rules only; no detailed pricing regulation	Brought under formal interest-rate regulation for the first time
Interest computation	Fintech/small-ticket lenders commonly charge a flat rate for the entire tenure	Must be computed on a daily reducing balance
Small-value loans (principal of up to ₹50,000)	No regulatory cap; some carry effective rates of 50-60% or more	Lender must set an internal APR ceiling, ensuring rates aren't unfairly high
Spread revision	Lender discretion, can be changed anytime	Except credit risk premium, other components won't be changed for 3 years
Lending below benchmark	No explicit restriction	Not permitted, except via third-party subvention/discounts
Benchmark disclosure (NBFCs)	Not required	Methodology for the benchmark must be public (not the underlying numbers)
Revolving small ticket credit	Apps can auto-renew a short-term loan the moment it's repaid (BNPL-style), triggering a fresh fee each cycle and trapping borrowers in repeat costs	Continuous revolving credit lines, like BNPL, banned; must be converted into standard, one-time loans without automatic rollover

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POWER POINT

VARUN KALSI & IRA SRIVASTAVA

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NRI MARRIAGES: ONE ESTATE, MULTIPLE INHERITANCE LAWS

In an increasingly globalised world, owning assets is no longer just about who gets what. It also means planning for different legal systems and succession rules.

Consider an NRI with assets in India who marries a foreign national. The NRI may retain Indian citizenship or acquire foreign citizenship and, if eligible, an Overseas Citizen of India (OCI) card. In either case, the spouse and children may also be eligible for OCI registration, subject to relevant conditions.

This raises a fundamental question: which law determines who inherits the assets?

One estate, varying laws

Under Indian law, movable and immovable assets are treated differently in intestate succession. Movable assets such as securities and investments are generally governed by the deceased's domicile, while immovable assets such as real estate are governed by the law of the jurisdiction where the property is situated.

For instance, a Hindu living in Singapore who owns units in a Singapore-based fund and a house in India may have succession to the units governed by Singapore law, while succession to the house would typically be governed by the Hindu Succession Act, 1956 (which is applicable law in India).

A single estate can therefore be subject to different legal regimes, resulting in succession complexities.

Effect of an overseas marriage

A marriage validly entered into overseas is generally recognised in India if it meets the requirements under Indian law. Registration in India is not compulsory for succession purposes, provided the marriage itself is legally valid.

The issue has also received policy attention. In 2019, the government introduced a Bill proposing mandatory registration of marriages between an NRI and an Indian citizen, or between two NRIs, amid reports of fraudulent NRI marriages. The Bill lapsed without being passed, and the government has since confirmed that it will not be reintroduced.

For NRIs, a well-drafted will helps simplify and streamline cross-border succession

Inheriting Indian assets as a foreign citizen

Indian succession law does not bar NRIs or foreign citizens from inheriting property. The Supreme Court has clarified that citizenship does not prevent anyone from inheriting Indian assets, so a foreign national can be included in the line of succession. However, inheritance and ownership by acquisition are treated differently, and regulatory requirements continue to apply after the property has been inherited. For instance, if the next of kin does not procure an OCI card, prior RBI approval is required to inherit an NRI/OCI's immovable property.

NRIs or OCIs may remit up to $1 million per financial year from inherited Indian assets; amounts above this require prior RBI approval. Thus, the deceased NRI or OCI's next of kin can inherit the property, subject to valid documentation and prior RBI approval, where required.

What a 'will' resolves

A single estate spanning different legal regimes can create uncertainty, delays and family disputes. It is therefore advisable to consolidate the distribution of assets through a will, with a separate will for Indian assets from one covering assets abroad.

A well-drafted will can significantly reduce complications upon demise. Assets covered by the will vest in the executor, who is responsible for managing and distributing the assets of the estate. Financial institutions such as banks, fund managers and insurers may nevertheless require evidence of legal heirship to process claims.

Registration of a will is not compulsory, but it lends authenticity and can make challenges to its validity more difficult. A will executed outside India should ideally be notarised or registered in the country of residence in accordance with applicable laws of that country and then attested by the Indian embassy or consulate for use before Indian courts.

Varun Kalsi, director, private client, and Ira Srivastava, associate, Cyril Amarchand Mangaldas.

'Most sectoral, thematic funds are unnecessary for a retail investor'

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With thematic passive offerings surging and small-cap funds drawing strong inflows, Groww AMC's head of equities Anupam Tiwari explains why narrow themes suit evolved investors, how he views small-cap valuations and where he sees opportunities amid global risks. He also shares Groww's asset allocation and quality-growth approach. *Edited excerpts:*

MONEY GURU

Around 130 passive funds were launched last year. With so many similar strategies, is the space nearing saturation?

In passives, there are three main categories: pure index funds for investors seeking low-cost broad exposure, thematic funds, and sectoral or niche funds. In narrow thematic and sectoral categories, active fund management often struggles to add efficient value for two reasons. First, the universe of stocks is very narrow, such as in defense, where only 15 to 17 stocks can be meaningfully bought. An active manager cannot differentiate much here and faces high risks of underperformance relative to heavily skewed indices. We believe passives are better suited for narrow sectors or themes. The only exception we made for an active fund is in banking and financial services, where the universe is wide enough. For a standard retail investor, most sectoral or thematic funds are unnecessary.

No single sector compounds consistently over a 10-20-year period without going through cycles, and timing those cycles is nearly impossible for a general investor. They are better off sticking to broad, diversified index funds.

Groww launched passive thematic funds in defence EVs and healthcare. How should investors use them?

These niche products target structural growth areas in the Indian economy. For instance, healthcare and hospital demand is rising due to expanding health insurance coverage, growing per capita income, and India's low baseline of hospital beds per capita. Similarly, electric vehicles represent a multi-year transition as regulatory pushes and infrastructure reduce internal combustion engine market share over time.

However, these structural themes come with high volatility and cyclicality. They are primarily designed for knowledgeable investors who understand industry cycles and risk-reward dynamics. For a general retail investor, total exposure to thematic or sectoral funds should be strictly capped at 5% to 10% of their overall portfolio.

Small-cap funds are seeing strong inflows. How do you view valuations and stock selection?

Valuations have certainly risen over the last 12 to 18 months. When we advocated investing in small caps over a year ago, interest was low, but sentiment has turned sharply more positive since then. Q1 earnings numbers played a key role here.

Retail behaviour often follows past performance; just as we saw with the recent buying frenzy in gold funds, investors are now rushing into small caps because of recent returns. However, investors must realise that small caps are a highly volatile category. To build sustainable, good CAGR in small caps, you must commit to a long time horizon, ideally 8 to 10 years. Our stock-picking philosophy follows a QGAR approach: quality, growth, and reasonable price. We view the market as a multi-factor, complex, evolving system, where standard textbook formulas often break down. For instance, despite rising US interest rates over the last five years, equity valuations expanded rather than contracted. We optimize our portfolio by assessing business cycles, management quality and growth visibility over 12 to 24 months, while maintaining strong sectoral diversification to hedge the portfolio.

> Such funds are designed for those who understand industry cycles and the risk-reward dynamics
>
> **Anupam Tiwari**
> Head of equities, Groww AMC

Which sectors offer the best long-term growth opportunities?

In efficient markets, sectors with high growth will rarely offer cheap valuations in a pure value sense. Instead of asking whether the current valuation is low, investors must determine whether the underlying growth will be sustainable for two, five, or seven years, as that sustainability dictates whether a stock re-rates or de-rates.

We are taking calculated growth risks across four key sectors where we expect long-term expansion.

First, the premium consumption sector, as India's rising per capita income, coupled with a generational shift in spending habits among younger decision-makers, is driving strong demand for branded and premium goods. This benefits the entire ecosystem. India is carving out strong positions in niche manufacturing segments. Post-tariff adjustments in key export markets like the US, traction has returned. While India cannot compete with China on mass-volume scale and cost of capital, Indian niche exporters have a strong growth runway.

We are positive long-term on capital markets, non-banking financial companies (NBFCs), and non-lending financials. Additionally, traditional banks are looking attractive again as valuations have corrected and corporate credit growth is improving due to an uptick in capex-led corporate borrowing. Finally, the power transmission and distribution (T&D) capex. We see multi-year growth potential in the grid and transmission ecosystem across both India and global markets.

Which global macro risks could influence portfolio positioning?

We keep a close watch on three primary global variables. First, US interest rates and debt levels. High interest rates and rising public debt in the US make it harder for capital-deficient emerging markets like India to attract global foreign capital.

China's massive manufacturing overcapacity has led to global price dumping, driving up Indian imports. While recent currency shifts—around a 15% depreciation of the rupee relative to the Chinese yuan—and government safeguard measures help encourage import substitution, Chinese capacity utilisation remains a critical factor.

Further, persistent global wars and geopolitical tensions keep energy prices volatile. Since India relies heavily on crude imports, sudden spikes in energy costs directly impact our macroeconomic balance.

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Factories need a makeover

FROM PAGE 10

component suppliers, testing facilities, design expertise, intellectual property and thousands of smaller manufacturers capable of producing at Six Sigma quality.

The encouraging part is that government programmes—the PLI schemes, Digital India, Udyog Bharat 4.0 and now ECMS—have pushed companies toward scale, components and digitization. But while subsidies can create factories, they cannot by themselves create industrial culture.

For that, manufacturers will have to take bigger bets on capacity, invest in R&D, own more design, train workers for increasingly digital production and accept that automation is sometimes an enabler of scale rather than just a project whose return can be measured against today's orders.

India has shown that it can assemble. The next test is whether it can manufacture deeper, faster and with enough intelligence built into its factories to compete with the world's best production lines.

OUR VIEW

ISTOCKPHOTO

How to spot the slippery slope of pack regulation

India's labelling of packages has provoked calls for boldface health warnings that could clash with the liberty of marketers. Here's how the rules could strike an optimal balance

There is a tide in the affairs of state policy, which, taken at the peak, could improve market outcomes. What began years ago as online activism over the safety of the packaged stuff we consume has rallied its way up to the top judiciary. Activists have argued that the Food Safety and Standards Authority of India's (FSSAI) rules for makers of food and beverages retailed in packs are too lax. Earlier this month, the regulator had reportedly rejected the idea of bright warnings on pack fronts, saying that displays of a black-and-white table of sugar, fat and salt content would suffice. Upfront cautions, once found impractical by the FSSAI, have the Supreme Court's favour. The alleged duplicity of marketers has been part of the stir that led up to it. Why, rule-critics asked, do global brands vary input formulas for various markets? Social-media chatter around what such gaps imply for our health has lately been amplified by cheers of public support for a health crackdown on eateries and dark stores in some cities. That such rules must tighten is a rallying cry with national data behind it. India's latest health survey flagged obesity as a risk set for a demographic bulge, with diabetes, hypertension and cardiac cases rising fast. An upswell against 'junk food' finds added validity in how hard it is to keep kids off it. Even so, for the same reason that we do not ban such edibles, freedom of choice, packaging rule revisions must weigh trade-offs closely before they go into force.

One big hitch is that there is too much out there to regulate case by case, so India's regulator can only apply broad category rules that may be harsher for some items than others. Standard pack labels that show nutritional values, especially salt, sugar and fats, can offer data on basic risks at best. Case-wise scrutiny is rare but useful. In July, for example, the FSSAI directed makers of fizzy beverages with high caffeine not to call them 'energy' drinks; nor could they claim to "aid in general weakness" or say it "revitalizes body and mind." This was apiece with another move to stop businesses from using terms like '100%' as part of their brand interface; the practice was judged as a sneaky way to make a false claim of purity in the hope its fine-print would escape notice. That consumers are not misled is part of the regulatory agenda for good reason. But what exactly might justify a message slapped on to grab eyeballs is a separate question. Like some other countries, India could well adopt interpretative labels: say, 'high sugar' marked boldly in red or 'low fat' in green. Given how much longer Indian pack labels often take to read than those in advanced markets, there exists a case not just for a better mix of brevity and clarity, but also for traffic-signal type health codes.

An informed market is an aim nobody argues with, but how in-your-face a warning ought to be is best calibrated by scientific studies of risk. Chewing gum with xylitol can have an ill-effect on some but not all users. Similarly, junk-food risks vary across categories, age morbidities, etc. If India's threshold for what justifies an invasion of a brand's creative space—its pack-face design—is set too strictly, it could end up as market overkill. Cases of glaring caution being an absolute-must do exist. Like cigarette packs, even if the rules now in force are arguably over-the-top. Junk food rules are nowhere near that extreme, but as they tighten, they must not slip down a slippery slope of market intervention. Let's analyse lethality first, like a good insurer would—without invading anyone's privacy.

THEIR VIEW

The five anti-canons of taxation that must guide India's tax policy

The interests of the economy should be held above the convenience of a revenue-maximizing state

MANJUNATH A. N. & ARJUN RAGHAVENDRA M.
are former officers, Indian Revenue Service.

The affirmative principles of tax policy are settled doctrine. Equity, fairness, certainty, simplicity, neutrality, predictability, efficiency, transparency and adequacy. This is the modern tax-policy canon, descended from Adam Smith's four maxims and distilled by the OECD's Ottawa framework, it is accepted globally. India's problem has rarely been ignorance of what should guide tax policy, but an unwillingness to name what should not. Here are five anti-canons that tend to write our tax laws today, and must be barred from writing them tomorrow.

One, revenue maximization must not be the basic motive: It is the result of good tax policy, never its premise. A statute drafted with collection targets as its architecture will choose the widest base of suspicion and the harshest machinery to work it, and then underperform because taxes built to extract behave worse than taxes built to be paid. This is not rhetoric but the logic of tax design itself: from Ramsey to the Mirrlees Review, the optimal-tax system was found to treat the revenue a state needs as a constraint to be met at the least cost to the economy. A good system raises revenue but must not be the principle a tax rests on. Every mature canon lists adequacy last, not first. Indian drafting inverts the order and this shows in provisions that block credit, deny refunds and presume evasion, each of which is defended in the name of revenue needs but erodes the very base that revenue grows from.

Two, tax policy must not be made in isolation: It is not a self-contained machine; it is one gear in the economy's transmission. Tariff structures are trade policy. Input credit oils manufacturing strategy. Refund speed is an export incentive. Rate schedules shape consumption patterns. Drafting tax provisions without asking what they do to global supply chains, capital flows and competitiveness is to miss the forest for a single heavily-guarded tree. The question before any finance bill should be what a clause does to the economy that pays it, rather than just how much it could add to state coffers.

Three, the state must not play 'heads, I win, tails, I amend': When the taxpayer loses, the matter is closed; when the state loses, the statute is retrospectively rewritten. That asymmetry is the single greatest destroyer of tax certainty India has produced. Vodafone won at the Supreme Court in 2012; Parliament amended the law back to 1962 to undo its victory, and it took a lost treaty arbitration and nine years before that amendment was finally buried. Similarly, when the Supreme Court held in 2007 that offshore technical service fees fell outside India's net, Parliament rewrote Section 9 of the Income Tax Act retrospectively to override it. When courts held that the first rewrite had not done so, it was done a second time. A state may disagree with a verdict; it may prospectively change the law. What it must never do is rewrite the past.

Four, the state must not be penny-wise with the economy: Collection efficiency matters, but a nation's progress is not measured by what its tax department gathers, but by what its people collectively build. A rigid administration that squeezes working capital for small firms, litigates every startup's valuation and treats each refund as a concession wins the quarter and loses the decade. The state that prospers is large-hearted with all that's productive: jobs, manufacturing depth, the aspirations of young firms. The geopolitics of supply chains are not externalities to tax policy, but its report card.

Five, cadre management must not masquerade as tax administration: This is the anti-canon nobody wants to name, because those who know it best are the ones to administer it. The number of commissionerates, the choice between a commissioner in every city or one per state, the design of faceless versus territorial assessment—these are often settled by the arithmetic of posts, promotions and anxieties of the tax administration, instead of by what the economy needs. Administrative geography drawn to fit a cadre's career pyramid is not neutral: every additional jurisdiction is an interface, and each one is a compliance cost the economy pays.

The five share a theme: each keeps the state from placing its convenience—its targets, silos, face, pride, promotions, etc—above the economy it serves. Well-known affirmative canons all point one way: tax is the price of civilization, collected so that society may flourish. The anti-canons are how that price becomes a penalty. India knows how to write the principles on the wall. The harder reform involves striking out what has been writing the fine print.

QUICK READ

Don't aim to maximize revenue, assess the economic impact of taxes, make no 'heads I win, tails I amend' retrospective tweaks and ensure that tax policy is neither penny-wise nor cadre-shaped.

India should adopt these five anti-canons of taxation for the sake of better overall outcomes. Tax policy must never put the state's convenience above the economy it serves.

10 YEARS AGO

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Paytm parent holds talks to raise $350 mn

JUST A THOUGHT

"The food you eat can be either the safest and most powerful form of medicine, or the slowest form of poison."

ANN WIGMORE

GUEST VIEW

Indian universities must become the student's sandbox

G. VENKATESH

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The existential threat of artificial intelligence (AI) has fundamentally broken the traditional promise of higher education: get a degree, get a job. The corporate hierarchy is aggressively shifting from a pyramid to a diamond. At the bottom, where legions of fresh graduates used to find entry-level jobs, companies can now dispense with human employees, deploying AI to automate tasks. The roles at the centre and top demand high-level synthesis, creativity and adaptability. With fewer entry-level positions available, an uncomfortable question haunts every student and parent in India while choosing a college: Why go to a certain university if it no longer guarantees a job?

The answer requires tearing down the way we view higher education. The university can no longer be seen merely through the lens of immediate employment. It must become the student's ultimate sandbox—a place of radical self-discovery, intellectual friction and exploration.

Consider a young Indian's journey. Where do they get the chance to figure out who they actually are and what they are good at? They cannot do it in our schools. The fundamental purpose of the school system is to establish a universal foundation—it must educate tens of millions of children to reach a baseline of literacy, numeracy, core subject knowledge and civic readiness. The sheer scale of the system makes it rigid; it cannot be a laboratory.

They certainly cannot figure it out when they enter the workforce. By the time a young adult secures a job, the stakes are far too high. They have bills to pay, ageing parents to support and eventually, families of their own. The financial and social risks of dropping everything to pivot careers or try something entirely new are paralysing.

That leaves a vital three-to-four-year window: the university.

This is that rare time in a person's life when they have the intellectual freedom, the resources and the safety net to explore alternatives without ruinous consequences. A student must be allowed to mix disciplines, fail at new ventures and aggressively experiment to find their calling. In an age where AI makes tomorrow entirely unpredictable, the only defence we can give our youth is agility. We must teach them survival skills. We must teach them to think like entrepreneurs—not necessarily to build startups, but to navigate ambiguity.

Currently, universities are failing at this because they are trapped in a metric-chasing rat race. They evaluate their worth by counting enrolled students, faculty ratios, publications, memoranda of understanding and patents filed. But as Goodhart's law warns us, when a measure becomes a target, it ceases to be a good measure. Institutions game the system for rankings rather than focusing on the student's intellectual evolution.

This institutional rigidity is downstream of a culture that has historically punished risk-takers. When Dr Subhas Mukhopadhyay created India's first (and the world's second) in vitro fertilization (IVF) baby in 1978—just 67 days after the world's first in the UK—he was not celebrated as a pioneer. Instead, he was subjected to a brutal government inquiry that drove him to suicide. Today, ironically, India is the second-largest IVF destination in the world. We can no longer afford to crush the experimental spirit. We must actively nurture it on Indian campuses.

What does this sandbox look like in practice? It means stripping away a rigid and predictable syllabus so that students can finally chase what actually interests them, testing wild ideas alongside a community of equally obsessed peers.

The National Education Policy (NEP) 2020 has already laid down a blueprint. Concepts like the Academic Bank of Credits are designed precisely for this—to let a student take a Python coding class here, a behavioural psychology seminar there, and build a unique as well as agile profile that AI cannot easily replicate. But execution remains patchy. Universities are deeply territorial, hesitant to accept credits earned elsewhere or allow genuine cross-disciplinary freedom.

This institutional paralysis must end. The challenges of the AI era do not respect departmental boundaries; an engineer today must understand ethics just as an economist must understand data science. We need role-model universities that boldly dismantle these traditional silos and experiment with entirely new problem-driven pedagogies. For this to happen, the regulatory ecosystem must evolve. Government bodies like the University Grants Commission (UGC) and All India Council for Technical Education (AICTE) must act as facilitators of this revolution, not its gatekeepers. They must shift their mandate from enforcing rigid compliance to actively rewarding institutions that dare to innovate.

The era of mass-producing identical graduates for a predictable job market is dead. We are marching millions of young people into a diamond-shaped economy armed with pyramid-era tools. In an age when AI can instantly replicate standardized skills, a static degree is no longer a shield. Indian universities face a stark and unavoidable choice: tear down their walls and become the dynamic and interdisciplinary sandboxes our youth desperately need to survive, or remain assembly lines, producing a workforce that may no longer be needed in a future rewritten by AI.

QUICK READ

Universities must break down traditional pedagogies so that students experiment with skills and become problem solvers in an era when AI is enabling the automation of entry-level jobs.

For this, the regulatory system must evolve so that universities become sandboxes for our youth. The era of assembly-line rollouts of graduates for a predictable job market is dead.

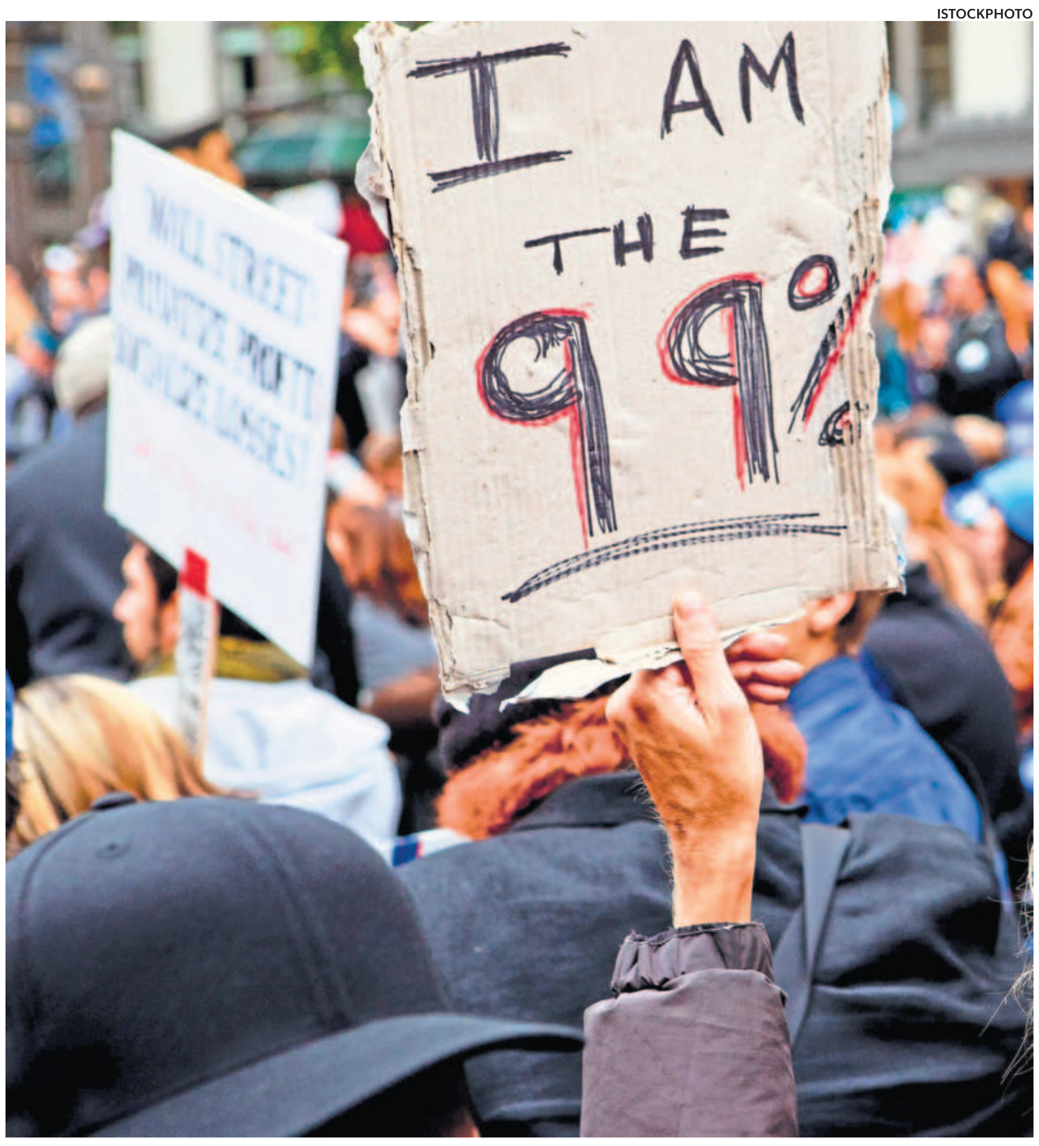
THEIR VIEW

It's the Age of Gated Recessions: time to resist runaway inequality

Multitudes could suffer adverse conditions while the rich grow richer and aggregate economic indicators mask hard times

KAUSHIK BASU
is a professor of economics at Cornell University and a former chief economic advisor to the Government of India.

ISTOCKPHOTO



Something strange is happening in the US labour market. The latest data released by the Bureau of Labor Statistics shows that the US economy lost 23,000 jobs in July, yet its unemployment rate actually fell to 4.1%. A closer look helps explain the apparent contradiction.

To be counted as unemployed in the US, a person must be actively looking for a job. Today, however, the job market is so bleak that people are giving up the search for work. Economists call this the 'discouraged worker effect.' As a result, the unemployment rate can decline even as demand for labour falls, because the supply of labour is shrinking even faster. Some estimates suggest that more than 2 million people have left the US labour force since November 2025.

By advanced-economy standards, the US has a high poverty rate. In 2024, 10.6% of Americans lived below the poverty line, which is defined as an annual income of less than $31,812 for a family of four. As some observers have noted, this figure may not reflect the true extent of the problem, since poverty has many dimensions that are not captured by a single income-based measure.

Moreover, many workers above the poverty line are seeing their real incomes shrink. Average US wages grew by 3.2% over the past year, while inflation hovered around 3.5%. With jobs becoming harder to find and workers losing purchasing power, there would seem to be good reason to worry that the economy is headed for a recession. But that is not happening—at least in the conventional sense.

The term 'recession' typically refers to a decline in economic activity across the country as a whole. A commonly used measure is two consecutive quarters of falling real GDP. By this measure, the US is not currently in recession, largely because rapid growth in some sectors, particularly AI, is offsetting weakness elsewhere.

The result is a striking divide. Even as American workers lose out, those whose incomes depend on stocks and corporate profits are enjoying boom times. Notably, reports of job losses and worsening labour-market conditions coincided with a rise in US stock markets. The S&P 500, for example, gained 47.68 points, or 0.6%, that same week.

These trends are not unrelated. As firms respond to new technologies by shedding workers, labour costs can fall, boosting profits. Technology stocks did particularly well as news of US job losses broke, with Nvidia gaining 2.3% and Broadcom up 1.7%.

This economic divide is not confined to the US. India is experiencing similar bifurcation. Youth unemployment remains extremely high, with a severe shortage of jobs for young graduates of colleges and universities. The World Bank estimates that India's youth unemployment rate increased by 2.1 percentage points to 17.7% in 2025. Consequently, many of these young people and their households may be experiencing a decline in real income.

At the same time, India's economy continues to grow rapidly, with per capita GDP rising by 6.6% in 2025. Here, too, aggregate figures conceal a bleaker picture, as strong income growth in a small segment of the population coexists with economic distress for many others.

Allowing such a stark divide represents a major policy failure. As a middle-income country with relatively low wages, India can, given the right policies, create jobs for its young people. This remains true even if current labour-market trends are being driven by AI and other digital technologies that reduce demand for human labour and concentrate profits in a few hands.

As economies become increasingly fragmented, policymakers, journalists and other observers must pay closer attention to what lies beneath aggregate statistics. We are entering an era of what might be called 'gated recessions': certain groups or regions experience recession-like conditions while the rich grow richer, keeping aggregate indicators looking healthy.

It is possible, for example, that lower-middle-class households in India—especially those with young adults fresh out of college—are effectively caught in a gated recession. In the US, states with the highest concentrations of low-income residents, such as Mississippi, New Mexico, Louisiana and Oklahoma, could similarly be experiencing localized, gated recessions as the labour market deteriorates.

The point is not to assign blame, as the causes of these disparities are often deep-seated and cannot be attributed to any single individual, party or administration. Nevertheless, politicians need to be held accountable for their response, rather than be allowed to dismiss the problem by pointing to favourable aggregates.

Addressing these divisions will require multi-faceted policy interventions. As AI continues to advance, wealth inequality is likely to skyrocket. Attempting to protect jobs by discouraging AI adoption through regulation would do more harm than good, creating costly distortions and weighing on productivity growth. A more effective way to break down the barriers between gated wealth and gated poverty, and ensure that the gains generated by technological progress are broadly shared, would be to impose higher marginal taxes on the fortunes, inheritances and incomes of the super-rich.

QUICK READ

It is possible, for example, that lower-middle-class households in India—especially those with young adults fresh out of college—are effectively caught in such a 'gated recession.'

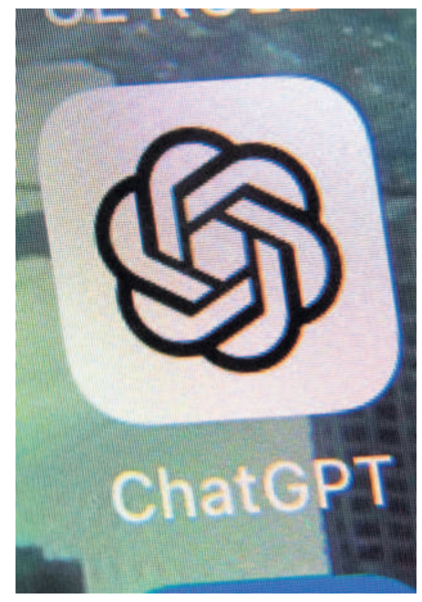
Trying to halt job takeovers by AI would do more harm than good but an advisable policy may be to levy higher marginal taxes on the fortunes, inheritances and incomes of the ultra-rich.

MINT CURATOR

Why AI chatbots designed for teens are no relief for parents

Addictive technology and developing brains are a dangerous mix

ABBY MCCLOSKEY
is a columnist, podcast host, and consultant.



OpenAI's ChatGPT for teens merely shows recognition of parental concerns. AP

OpenAI has launched ChatGPT for Teens, complete with various safety features. But this implies that the main concern of kids using artificial intelligence (AI) is their access to damaging content. If only.

Don't get me wrong. AI-assisted suicides, deepfakes and sexually explicit conversations with and for children are—to be frank—horrific.

But, as a mother, my deepest concern is what AI use does to teens' ability to think critically and develop socially. The only way to address those worries is not to toggle with the app, but to limit kids' exposure to it entirely.

The new version of ChatGPT for Teens is targeted at kids aged 13 to 17. It includes content restrictions around sexual, violent and self-harm topics. It also promises to curb AI use for homework, guiding students towards next steps instead of simply spouting answers straight up.

This is all well and good. I'm with the 80% of American parents who support more controls on AI for kids, including parental permissions and alerts.

But when it comes to the efficacy of such protections, I'm not holding my breath. We've seen how hard it is to impose age controls on social media. And age verification for ChatGPT for Teens has no legal force behind it.

Even more concerning, a version of the app marketed at teens may make parents (or educators) feel more comfortable with children accessing it. That could increase the use of AI by adolescents. They are already talking too much with their AI chatbots as it is.

And of course, whatever OpenAI blocks is still available elsewhere. A new survey by Common Sense Media's Youth AI Safety Institute found that 63% of teens are using AI explicitly to get homework answers. Testers asked Google Search to do their homework (math sets and essays) and it completed every assignment. And if you or your child are wondering, there is no way to turn Google AI's assistant off.

Already, our children's brains are being changed by exposure to these tools. A recent study out of the University of Hong Kong and Stockholm University looked at 27,000 students ages 12–18. The academic researchers found that after six months of using AI, students saw their average homework score go up. But come exam time, the same kids scored 20% below their classmates who had not used AI.

This comes atop other early research suggesting a decline in cognition as a result of AI use. A 2026 literature review of 400 studies by the Brookings Institution, where I am a fellow, concluded "the risks of utilizing generative AI in children's education overshadow its benefits."

This is to say nothing about what AI is doing to children's relationships with their parents and with each other. In a 2025 survey by Thorn, a child safety non-profit entity, nearly a third (29%, that is) of minors had turned to AI chatbots for guidance on a sensitive or intimate topic—a friction-free alternative to seeking their parents' and peers' counsel.

To be sure, we are at the very beginning of understanding what AI might do to human cognition. Maybe there will be some incredible upside, some unique advantage for kids in particular.

But try telling that to this battle-weary bunch of moms and dads. In the last decade, we've had to navigate kids' relationships with smartphones, social media and screen-based schooling. And now AI.

Each time, policymakers and Big Tech and schools have erred on the side of sorry rather than safe. Each time, reams of after-the-fact data have confirmed what common sense could foretell: Addictive technology and developing brains are a dangerous mix.

So, yes—if OpenAI wants to help address the problem it has created, that counts as progress. I'll cheer on any attempt to put more guardrails on Big Tech when it comes to kids.

But the most surefire way in schools and homes to protect children from AI—at this critical time of development of the technology and a critical time for the development of our children's faculties—is to limit access to it completely.

In school, it may make sense to return to taking exams with pen and pencil. Homework should be done on paper, or at the very least, a device that can block AI—which means companies will have to grant parents and teachers the ability to do so.

At home, parents should keep trying to delay personal screens from being used by their children as long as possible. Bring back reading, time outside and playing with friends instead.

Call me reactionary, but look at apps designed for children with a particular level of scepticism.

MY VIEW | PEN DRIVE

Tourist or traveller? Bali has long charmed everyone

RAHUL JACOB

is a former Financial Times foreign correspondent.

The line up of grinning, life-sized robotic images instead of immigration officers at Bali's airport welcoming us with manic enthusiasm on Monday turned out to be a mirage. The passport scanning machines were brand new but not working, forcing most travellers into queues manned by very few officers. This mechanical malfunction was after Indonesian e-visas and e-arrival cards had made the process both easier and more complicated. Indonesia requires pointless 'captcha' codes to be deciphered by visitors, but Indian e-arrival formalities are still more difficult to complete on a computer screen because a balloon unhelpfully obscures the code. Meanwhile, in Europe this summer chaotic immigration queues even led to some flights taking off without several passengers caught in the snarl of bureaucratic overreach. If this dystopian travel experience is a forerunner of human-supervised artificial intelligence, we should all worry.

And, there is the rub. Online bookings may nowadays require just a few clicks, but tourist destinations are frequently overwhelmed by tourists searching for Instagrammable moments. The Bali I first encountered was two decades ago when I rushed to the island after a terrorist bombing on Kuta beach and in Jimbaran Bay to write an article criticizing warnings by Western governments not to travel to Bali. Now, it is the congestion at popular destinations that I worry about, starting with airport immigration queues.

I am guilty of considering myself a traveller while maintaining that "the other fellow is a tourist," as the late novelist Evelyn Waugh observed. Today, visitors from different countries make Bali or Florence feel like its attractions are under siege from a non-violent infantry toting selfie sticks and marching behind tour guides with colourful flags.

As far back as 1988, in a collection of essays titled *Holidays from Hell*, American humourist P.J. O'Rourke complained about just about every nationality abroad, starting with his own to "peevish Swiss, smelly Norwegian backpackers yodelling in restaurants" to Japanese who travelled in large groups and Germans by the hotel poolside.

Almost 20 years ago, I published a collection of travel essays that celebrated the fact that overseas travel could be enjoyed by tens of millions of travellers from Asia and argued that burdensome visa regimes needed to catch up.

The world of travel is thankfully more egalitarian now, but I paradoxically travel much less. My memories of visiting places such as Kerala's backwaters or taking rowing lessons, gondola-style standing up, in Venice decades ago are crowded out by visions of throngs at these destinations. Covid brain fog for me was unusual: the two lockdowns in India as well as government-mandated extreme social distancing felt akin to solitary confinement. I felt cut off from friends elsewhere in India and around the world while becoming inoculated against wanderlust.

I am now the very opposite of the adventurous traveller I once posed as. Gone are the days of jumping on a plane to Dakar in Senegal to listen to its incredible posse of singers from Youssou N'Dour to Orchestra Baobab in concerts that sometimes lasted till 5am. No more do I travel to Beijing or Bali as I once did, or for literary festivals. Instead, I enjoy travel most when seeing friends instead of sightseeing.

The bizarre effect is to feel more deeply connected to places than I did before. On this visit to Bali, I stayed first with friends in a made-for-movies minimalist villa in Cemagi. I arrived, after a two-hour drive from the airport through clogged roads reminiscent of Bengaluru, to a lunch that felt like a reunion with them and other friends. I arrived at another friend's home in Bali to find almost every dinner over the week was a different event, one of which was a conservation project to save fireflies.

This week, I attended the memorial in Ubud of a Malaysian friend and renowned gallerist and *bon vivant*, done largely according to local customs. His partner of more than three decades left the event's organization, lunch included, to his staff because, as he self-deprecatingly explained, his partner handled this sort of thing. Instead of the void, one felt the presence of his partner on an occasion that included Balinese dance and a traditional *gamelan* mini-orchestra. Youngsters gave tributes to a favourite gay uncle who had mentored them. Hundreds of solitary marigolds hung from trees in a rock garden he had designed. Simple offerings of frangipani and bougainvillea were in lacquered trays that resembled crowns. Beryl de Zoete, who published a book on Balinese dance in 1938, wrote that even then, when Charlie Chaplin and other Hollywood stars visited the island, there were people who said "Bali was too spoiled to be worth a visit." Her rebuttal was forceful. "Bali is neither a last nor a lost paradise," but home to people "who have a great sense of humour and a great sense of style where their own traditions are concerned." At a memorial that combined sumptuous colour in a seemingly effortless ritual of remembrance and celebration, those words rang true some 90 years later.

QUICK READ

Visitors from various countries frequently make Bali feel like its attractions are under siege from a non-violent infantry toting selfie sticks and marching behind tour guides with colourful flags.

Bali's big charm, though, is far from the crowds. It's home to people who have a great sense of humour and sense of style on matters of tradition, as famously observed almost a century ago.

Uncorking Georgia's ancient wine region

A journey across Kakheti reveals the country's 8,000-year-old wine culture and explains why Georgians consider wine almost sacred

Anita Rao Kashi

ISTOCKPHOTO

At mid-morning in early March, the air has a pronounced nip, intensified by a stiff breeze. It is bright but the sun imparts no heat. Inside the ancient Alaverdi Monastery, in the heart of Georgia's Kakheti region, the stone walls are dark and brooding, and the air is still but the cold is much worse. Parts of the 11th century cathedral, standing amidst open flatlands stretching towards hills, are cordoned off for renovation and covered in scaffolding, so its true extent is hidden. Much of its interiors are off-limits to visitors since the cathedral's origins date back to the 6th century and portions are fragile.

But even from the outside, it is stunning. Faded murals with Biblical scenes, mostly in earth tones, surround the main door of the cathedral. Peering inside reveals a bare interior with little embellishment, but for a massive partial fresco, possibly of Christ Pantocrator in Byzantine style dominates the apse.

As much as all of this is fascinating, the monastery's bigger claim to fame lies outside the main structure—in the grounds that surround it, the damp rooms adjacent and the cellars that lie beneath. Together, they account for some of the best wines of Georgia. Signs of spring are already popping up in the sprawling grounds where vines of ancient varietals, native to Georgia, stretch out in neat rows. In a few months, these will be weighed down by plump grapes.

From medieval times, monks from the monastery harvested and pressed the grapes and processed them in the monastery's winery. At some point, the winery was destroyed by marauding armies and lay defunct for a few centuries, but has been painstakingly restored to its former glory and is now operated privately.

At the tasting room across from the church, the two main wines are showcased. The ruby-red Saperavi is intense in colour and flavour with notes of fruit, earth and spices. On the other hand, the golden Rkatsiteli, also a dry variety, tastes of pear and honey, and is slightly acidic with hints of savouriness. It feels a little incongruous to think that monks produced these wines, but sipping the delicious Alaverdi wines while gazing at the ancient stone structure provide an inkling of why Georgians regard wine as something almost sacred.

Georgia is considered to be birthplace of wine, its origins going back 8,000 years to 6000 BC. It is believed that Stone Age Georgians buried grape juice underground in winter to preserve it, and ended up discovering fermentation and wine. Wine is a big contributor to the country's economy, among top five exports of the country and grapes are the second largest agricultural produce after grains.

Kakheti is Georgia's easternmost province, sitting between mountains to the north and Alazani River valley in the south. It is the country's largest wine producing region, accounting for over 70%. In March, with spring almost on the doorstep, the light is honeyed, almost the colour of Georgia's most beloved golden amber wine. What distinguishes Georgian wine from wines from everywhere else is the use of qvevri. These are mammoth egg-shaped terracotta vessels, which look like amphora but without the handles, and are supposed to have been used here since 2000 BC. It is such an inherent part the country's history that Unesco has designated it Intangible Cultural Heritage. Driving around the region, one can see old and worn out qvevri abandoned in open areas.

> Kakheti, Georgia's easternmost province, is the country's largest wine-producing region, accounting for over 70%

The qvevri in use are underground, well hidden. I head down a narrow gently curved sloping underground passage at Chateau Buera, located on the banks of Lake Lopota, which leads to an open cave-like structure. Once the eyes adjust to the dimly-lit interior, I see the floor scattered with the protruding necks of the qvevri with the rest buried in the ground.

The air is thick and heady with the smell of evaporated wine mingled with damp earth. The vintner opens the lids of a handful and offers a tasting, while keeping up a commentary on the history and process. It is easy to see the result of this process: a rich colour and flavour that combines the taste of grapes, earthiness and other fruits grown in the region. At the elegant restaurant above the winery, an evening meal paired with wines feels decadent. The wines progress from the lights of white to the richness of reds and end with fruity sweetness of dessert wines. From the floor to ceiling windows, the view of rows of vines tumbling down to Lake Lopota against a vivid sky lit by orange-red of the setting sun is the perfect backdrop.

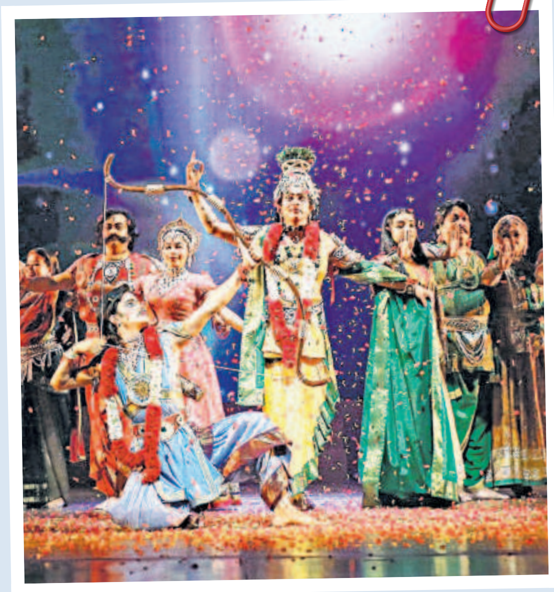
The sense of history is more pronounced at Tsinandali Estate, which is the ancestral home of poet-prince Alexander Chavchavadze. Amidst sprawling grounds and towering trees and water bodies stands an imposing mansion. Underneath is the winery which has been producing wine since the 1800s. Going deeper into the wine cellar through arched and vaulted passages, it feels like the stone walls carry the wisdom and skill of generations of winemakers.

The Khareba Wine Tunnel at Kvareli; (right) qvevri lying around in Kakheti; and (top) Kakheti.

This experience repeats itself over the next few days. In the several towns that dot Kakheti, such as Telavi and the lovely hilltop Sighnaghi, family-run wineries offer a variety of wines and there is such joy in consuming it straight from the source. It is often paired with apricots, cheese, churchkela, and hearty Georgian hospitality.

The Khareba Wine Tunnel at Kvareli is a nod to modernity. Stretching for 7.7km, this is a tunnel cut into the Caucasus rock massif with an astounding collection of wines. A few minutes into the passage, natural light falls away and the tunnel is lit by pools of golden light. The temperature drops drastically to a chilliness. Little alcoves cut into the tunnel walls on either side are stacked with thousands of bottles; the alcoves resemble naves, an apt setting for an elixir. Instead of the qvevri, Khareba ferments and stores its wines in bottles in the underground tunnel but attempts to harness the same conditions as the ancient method. Its reds are full-bodied and intense, but the whites stand out for the tingling and crispness.

I am told again and again that wine is front and centre in Georgian life. So much so that during traditional Georgian feasts, a designated toastmaster, tamada, leads the table in a series of elaborate toasts with the cry gaumarjos, victory, but used to mean "cheers". The toasts give gratitude to country, to friends and family, to guests and to life itself.



'Krishna' marks its 50th anniversary this year.

For the weekend

Celebrating art and Krishna

A *Mint* guide to what's happening in and around your city

DELHI

KRISHNA

29 August-4 September

Directed by Shobha Deepak Singh and choreographed by Shashidharan Nair, this 140-minute dance-drama traces Krishna's journey from Gokul and Vrindavan to the battlefield of Kurukshetra. The production marks its 50th anniversary this Janmashtami, on 4 September.

Kamani Auditorium, Copernicus Marg, Mandi House. For details, visit in.bookmyshow.com

ORIGINS

28 August

Cyprus-born guitarist and composer Odysseas Toumazou, along with Manos Stratis on double bass and Vassilis Philippou on percussion and vocals, will present original compositions influenced by Eastern Mediterranean, Middle Eastern and Western musical traditions.

9pm. The Piano Man Jazz Club, Safdarjung Enclave. For details, visit in.bookmyshow.com

By Sahil Naik.

MUMBAI

SOUR STARS AND BREADFRUIT MONSOONS

Till 29 August

This solo exhibition by Sahil Naik features paintings and image fragments inspired by early colonial landscape studies and murals found across Goa, Mumbai and Daman. It explores themes of migration and adaptation.

11am-6pm. Experimenter, Sunny House, Colaba.

BENGALURU

A LITTLE BIT OF GOA & PERU

28-30 August

Peruvian-Japanese restaurant Heliconia is hosting a food pop-up led by chef Arturo Castro Salazar. The menu includes Salmon Ceviche with lychee ponzu, Chicken Yakitori with butter mustard glaze, garlic chips and truffle chalaquita, and Panca Black Cod. Desserts include Chocolate Pebble and Tres Leches.

7pm. UNO Izakaya, JW Marriott Hotel Bengaluru, Ashok Nagar.

Where to eat in the world's most populous city

Jakarta is an emerging culinary destination as Indonesian chefs open restaurants and bars that highlight local flavours

Bloomberg

A few things you might not know about Jakarta: It's now the world's most populous city, home to almost 42 million people. And now it's the base for one of the best pastry chefs on the planet, via the World's 50 Best restaurant list.

Indonesian food, with its complex flavours and textures, is getting more international attention as people seek out singular cuisines and products. The spicy aromatic condiment sambal and tempeh (pressed soybean cakes) are becoming pantry staples. Here are some of the best places to eat in the city.

NEW KID ON THE BLOCK

The Indonesian archipelago is vast, comprising more than 17,000 islands and stretching from Asia to Australia. To get a taste of the astonishing array of flavours and ingredients it encompasses, book a table at Suara. There's an intimate feel to this new spot, despite the modern glass-walled design and well-spaced tables. For a front-row view of the action, grab seats at the chef's table in front of the open kitchen, where cooks grill, toss and plate dishes throughout the night.

A good one to start with is the tuna ganja maluku (165,000 rupiah, or about $9.30). The dish of sashimi-grade bluefin tuna mixed with tiny shrimp, bird's-eye chile and kaffir lime is fresh, tangy and spicy enough to wake you up.

Among larger plates, the chargrilled Java Sea tiger prawns come with bold, spice-packed sauces, served with rice and vegetables to balance all that richness. Cocktails are, of course, infused with Indonesian flavours, such as a mix of mezcal with manisan salak (sweet preserved snake fruit) and the lapis legit old-fashioned, featuring the flavours of the famed layered spice cake.

STRICTLY BUSINESS

Occupying a colonial-era bungalow on a leafy street, Kaum looks compact and low-key from the road. But step inside, and you'll find a large, high-ceilinged dining room with long wooden tables and chairs surrounded by walls decorated in Indonesian motifs. At lunch the big tables lend themselves to groups of colleagues or client meetings, boosted by the location, just off Jakarta's Thamrin business corridor.

The restaurant August offers set menus of more than a dozen tasting dishes.

The food is also meant to fill the table. Before the heavier dishes arrive, start with gohu ikan tuna, a North Maluku-style raw tuna salad marinated in coconut oil and the citrus fruit calamansi, with kenari nuts for added crunch and rice crackers to scoop up each bite.

The ayam kampung berantakan is a repeat order: It's a fried free-range chicken buried under a deliberately messy pile of serundeng, aka spiced toasted grated coconut, crisp curry leaves and oyster mushrooms, with sambal on the side. You'll enjoy crunchy, savoury and spicy bits in almost every mouthful, with a choice of red or white rice. For pairing options, Kaum stocks Indonesian craft beers and cocktails built around ingredients such as pandan, nutmeg and the local spirit arak.

VALUE FOR MONEY

Jakarta has countless joints that serve Padang food, the richly intense, West Sumatran cuisine that features liberal amounts of coconut milk. But Pagi Sore stands out for its rendition, served in a polished but authentic setting. Founded more than five decades ago, the restaurant has become an institution built on its reputation for coconut-heavy, unapologetically spicy Minangkabau cooking.

The best part of eating at Pagi Sore is the ritual. Not long after taking your seat, the tabletop disappears beneath small plates of every dish, and the challenge becomes deciding what not to eat. You shouldn't miss the gulai, a broad category of rich Indonesian curries.

NO RESERVATIONS NEEDED

In 1974, Sate Khas opened the first outpost of its pioneering eponymous chain serving Indonesian street food. Now there are more than a dozen locations across Jakarta and in places as far afield as Bali.

The interior design accentuates browns, blacks and off-whites and displays either wayang (shadow puppets) or Batik motifs—an homage to the Javanese culture that inspired many of Sate Khas' dishes. Like the other locations, the one in Menteng is designed for walk-in crowds, with plenty of four- and six-person tables.

If Sate Khas has a specialty, it's satays. The restaurant offers several versions of it, including lamb satay and sate buntel Javanese sausages on a skewer. The most renowned version is the Ponorogo-style chicken satay, grilled skewers that have an especially sweet and savory taste.

FINE DINING

Arguably Jakarta's most famous restaurant, August earned the title of One to Watch on Asia's 50 Best list in 2023. The World's 50 Best organization has since ranked it Indonesia's best restaurant for three consecutive years.

The restaurant—from chef Hans Christian, an alum of Chicago's Next, and co-owner Cahyadi—offers set menus of more than a dozen tasting dishes, ranging from 1.5 million to 1.7 million rupiah, that combine French cooking techniques with Indonesian flavours. While the tasting menus change every six months, the bestsellers remain as add-on dishes, including Foie PB&J and Frozen Lampung Coffee.

Having Asia's best dessert chef means August also turns out amazing sweets, such as the teh kotak, an edible cube that bursts with tea flavour when you bite into it—a tribute to the boxed tea drinks commonly found in Indonesian supermarkets.

Write to us at feedback@livemint.com